

Comprehensive Annual Financial Report of the
Pleasant Valley Community School District
Bettendorf, Iowa
For the Fiscal Year Ended June 30, 2017

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

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December 18, 2017

Ms. Christine Cournoyer, Board President
and Members of the Board of
Education and Citizens of
Pleasant Valley Community School District

It is indeed our pleasure to submit to you the Comprehensive Annual Financial Report, (CAFR) of the Pleasant Valley Community School District, (the "District") for the year ending June 30, 2017. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada.

The report presents the financial information of the District accurately and concisely. It is comprehensive, yet easily readable. The Comprehensive Annual Financial Report will be submitted for the second consecutive year to the Association of School Business Officials of the United States and Canada (ASBO) for review for the ASBO Certificate of Excellence in Financial Reporting and to the Government Finance Officers Association for the GFOA Certificate of Achievement for Excellence in Financial Reporting.

This letter of transmittal is designed to complement the Management's Discussion and Analysis included within the financial section of the CAFR and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of operations of the various funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes the entire District. The District is not included in any other reporting entity, nor is any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Basis of Accounting and Accounting System

The District's accounting records for general operations are maintained on a modified accrual basis, with the revenue being accrued when available and measurable. Expenditures are recorded when the services or goods are received and the liabilities are incurred. Accounting records for the District's nutrition program and internal service fund are maintained on the accrual basis. All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2017. The independent auditor's report is located at the front of the financial section of this report.

The chart of accounts used by the District is in conformance with the revised Uniform Accounting System for Iowa Schools and Area Education Agencies 2009 Edition. The chart of accounts manual is updated on an annual basis.

In developing and evaluating the accounting system of the school District, much consideration is given to the adequacy of internal accounting controls. Internal accounting controls are designed to provide reasonable, but not absolute, assurance regarding: (1) the safeguarding of assets against loss from unauthorized use or disposition; and (2) the reliability of financial records for preparing financial statements and maintaining accountability for assets. The concept of reasonable assurance recognized that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school District adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Profile of the District

Located in the Quad City Metropolitan area of eastern Iowa and western Illinois, the Pleasant Valley Community School District serves the education needs of approximately 4,650 students in preschool through twelfth grade. The District has five pre-Kindergarten-6th grade elementary schools, one 7th-8th grade junior high, and one 9th-12th grade high school. All buildings are air-conditioned and equipped with state of the art technology. The District was organized in 1962 and encompasses 44 square miles of eastern Scott County including the towns of LeClaire, Panorama Park, Riverdale, the village of Pleasant Valley and over one half of the City of Bettendorf. Within its borders is found a rich blend of urban, rural, suburban and small town living. The economic makeup of the district includes some of the richest farmland in the nation in concert with exceptional commercial and industrial enterprises. The school district serves as the focal point for the total community since it is the one institution that cuts across the political, social, and economic boundaries and provides a common interest. As a result, community involvement in education is high at all levels.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education. The elections are held in September of odd-numbered years. Three and four positions are up for election on alternate odd-numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk.

Local Economy

The Quad Cities is a six-county, bi-state region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa. Located 2 1/2 hours west of Chicago and within a 300 mile radius of 37 million people, the Quad Cities region is home to Fortune 500 corporations such as John Deere & Company, 3M and Arconic, along with the Rock Island Arsenal, a major military installation. These chief employers are joined by 30,000 additional businesses, creating a robust and growing economy. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,194 employees. The Quad Cities is a vibrant community with a labor force of 588,000 people. A network of over 40 colleges and universities within a 90-mile radius provides companies with a pool of highly skilled and educated workers to draw from. The region is a manufacturing, technology and logistics hub that offers big-city amenities plus a low cost of living, high-quality schools, short commute times, and a technically skilled labor pool. The region also provides convenient transportation to major Midwest markets.

Debt Administration

As of June 30, 2017 the District had \$18,410,000 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of \$79,763,859.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$131,233 was earned on all deposits and investments for the fiscal year ending June 30, 2017.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan is partially self-funded and dental plan is fully self-funded.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Enrollment Projections

The Pleasant Valley Community School District currently serves approximately 4,650 students. The District continues to experience significant annual growth with an approximately 214 student increase in certified enrollment in the 2016-17 fiscal year. The District has experienced an average annual growth in certified enrollment of 137.4 students per year for the last decade from the 2007-08 school year through the 2016-17 school year. The District is expected to see continued growth in enrollment. This continued growth presents infrastructure challenges that are being addressed through the District's long range planning process.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, local option sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 338 certified teachers under contract in the District. 63% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education

In addition, the District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2016-17 school year:

Academics:

- 8 National Merit Scholar Semi-Finalists, and 3 National Merit Commended students
- 89% of the class of 2017 graduates intend to pursue post-secondary education/training

- 100% of the graduates took a minimum of four years of English
- 100% of the graduates took a minimum of three years of Math, Science and Social Studies
- 82% of the senior class participated in one or more school activities (extra-curricular, athletics, band, drama) during their high school career
- 100% of the senior graduates were involved in service to their community contributing 31,153 hours toward the betterment of the Quad Cities with their efforts.

Activities:

- 840 band members in grades 6-12
- 10 students received All-State Band Honors
- 525 choir members in grades 6-12
- 20 choir students accepted to the Iowa All-State Choir and 2 students accepted into the Iowa All-State Jazz Choir
- Approximately 300 Drama participants in grades 7-12
- 1 drama student selected for All-State Individual Event: Improvisational Acting
- Numerous Division I ratings at state large group and individual contests
- 393 Orchestra participants
- 5 students selected to the Iowa All-State Orchestra

Athletics:

Mississippi Athletic Conference Champions in the following sports:

- Boys Cross Country
- Girls Basketball
- Boys Bowling – dual record
- Girls Track & Field
- Boys Track & Field
- Girls Golf
- Girls Tennis

State Runner-Up:

- Boys Cross Country
- Platinum Dance Team (Jazz)

State Championships:

- Softball (1st in school history)
- Girls Tennis (1st in school history)
- Trap-Sporting Clays (1st in school history)

Economic Condition and Outlook

The District's solvency ratio for 2016-2017 is 12.3%, up from 11.4% in 2015-2016. It is recommended the District have a solvency ratio of no more than 25%.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to increase. The district cost per pupil for 2016-2017 was \$6,724 and the cost per pupil for 2017-18 is \$6,797.

Independent Audit

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the general purpose financial statements and combining individual fund statements is included in the financial section of this report. The auditor's reports related specifically to the single audit are included in a separate section for the internal controls and compliance.

Certificate of Achievement for Excellence in Financial Reporting

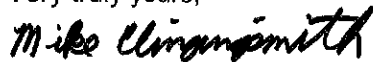
This submission is the District's second consecutive submission to the Government Finance Officers Association of the United States and Canada (GFOA) for a Certificate of Achievement for Excellence in Financial Reporting, and the Association of School Business Officials of the United States and Canada (ASBO) Certificate of Excellence in Financial Reporting for its comprehensive annual financial report for the fiscal year ended June 30, 2017. In order to be awarded the Certificates, a governmental must publish an easily readable and efficiently organized Comprehensive Annual Financial Report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors.

Very truly yours,



Mike Clingingsmith
Chief Financial Officer



Dr. James R Spelhaug
Superintendent

Pleasant Valley Community School District

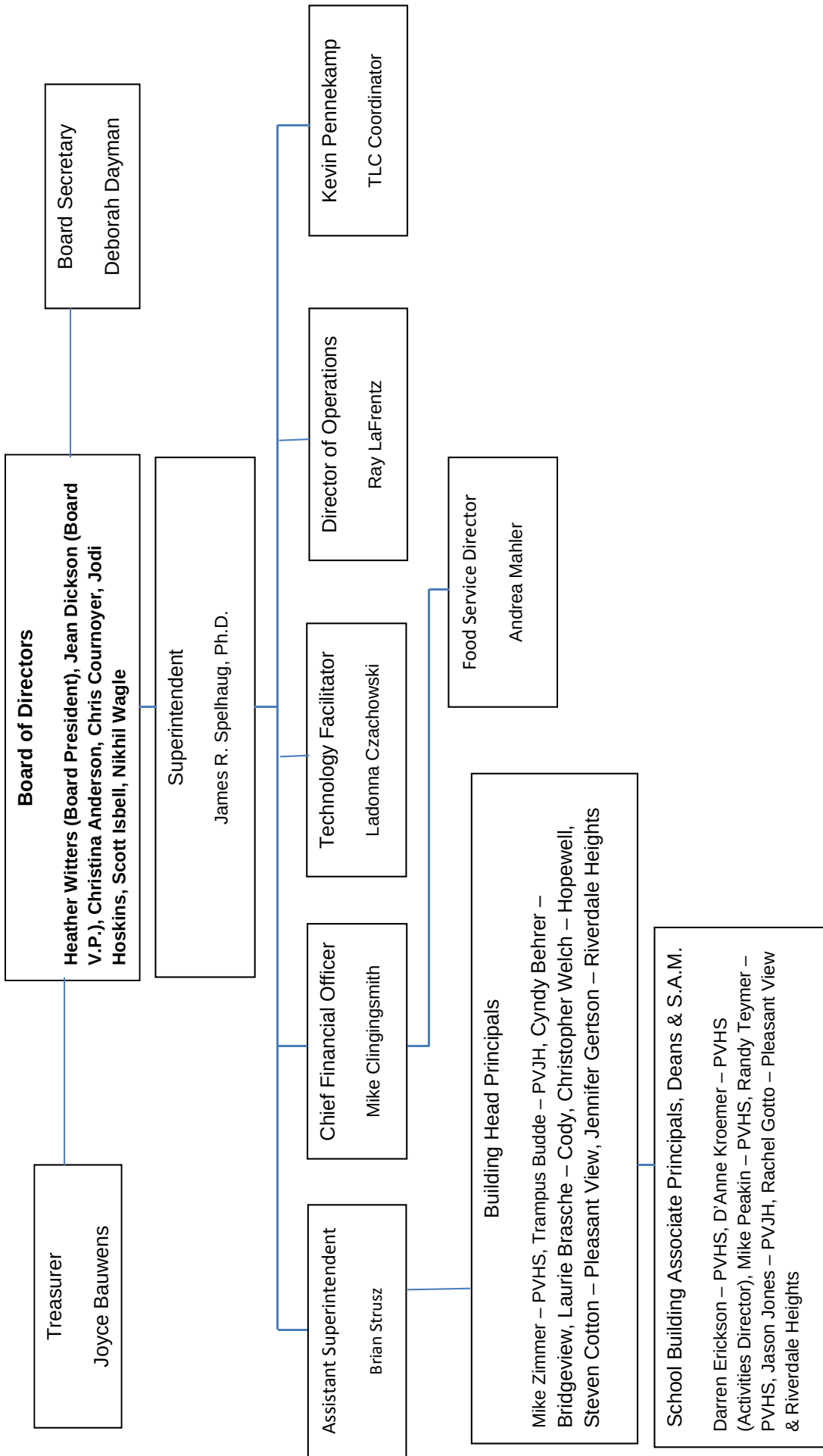
Board of Education and School District Officials

Year Ended June 30, 2017

Name	Title	Term Expires
Board of Education		
Heather Witters	Board President	2017
Jean Dickson	Board Vice President	2017
Chris Cournoyer	Board Member	2017
Scott Isbell	Board Member	2019
Jodi Hoskins	Board Member	2019
Christina Anderson	Board Member	2019
Nikhil Wagle	Board Member	2019
School District Officials		
Dr. James R. Spelhaug	Superintendent	2019
Brian Strusz	Assistant Superintendent	2018
Mike Clingingsmith	Chief Financial Officer	2018
Deborah Dayman	District Secretary	2017
Joyce E. Bauwens	District Treasurer	2017
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart





Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Pleasant Valley Community
School District, Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2016

Executive Director/CEO



**ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL**

**The Certificate of Excellence in Financial Reporting
is presented to**

Pleasant Valley Community School District

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2016.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



Anthony N. Dragona, Ed.D., RSBA
President

John D. Musso, CAE, RSBA
Executive Director



Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of funding progress, budgetary comparison information, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-17 and 52-59 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The other supplementary information, as listed in the table of contents, and schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and the other information, including the introductory and statistical sections and are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information, as listed in the table of contents and the schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2017 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2017

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Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2017. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2016-17 FINANCIAL HIGHLIGHTS

- General Fund revenues (excluding proceeds from sale of capital assets and interfund transfers in) grew by \$2,415,240 (5.3%) from \$45,686,148 in the 2015-16 fiscal year to \$48,101,388 in the 2016-17 fiscal year. The most significant factors in this growth were an increase in state source revenues and an increase in property taxes received due to the increase in student certified enrollment (see the third bullet point below). General Fund expenditures (excluding interfund transfers out) grew by \$2,023,969 (4.5%) from \$45,391,591 in the 2015-16 fiscal year to \$47,415,560 in the 2016-17 fiscal year. This was due, in part, to increases in current employees' salaries and benefits. There was a net increase in fund balance in the General Fund of \$710,633. As a result, the District's General Fund balance increased from \$5,728,528 at June 30, 2016 to \$6,439,161 at June 30, 2017. This represents a 12.4% increase from the prior year.
- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) increased from 11.4% at June 30, 2016 to 12.3% at June 30, 2017.
- The District's certified enrollment (resident headcount) for the 2016-17 fiscal year (taken on October 1, 2016) was 4,745.5, an increase of 213.7 students or 4.7% over the 2015-2016 fiscal year certified enrollment of 4,531.8 (taken on October 1, 2015). The District's certified enrollment for the 2014-15 fiscal year (taken on October 1, 2014) was 4,386.1. Therefore, the District's certified enrollment grew by 145.7 students between the 2014-15 fiscal year and the 2015-16 fiscal year. A District's certified enrollment is used in determining funding through the state foundation formula in the fiscal year immediately after the fiscal year in which the certified enrollment count is actually taken.
- The District's overall property tax levy rate was decreased from \$14.34 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2015-16 fiscal year to \$14.14 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2016-17 fiscal year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

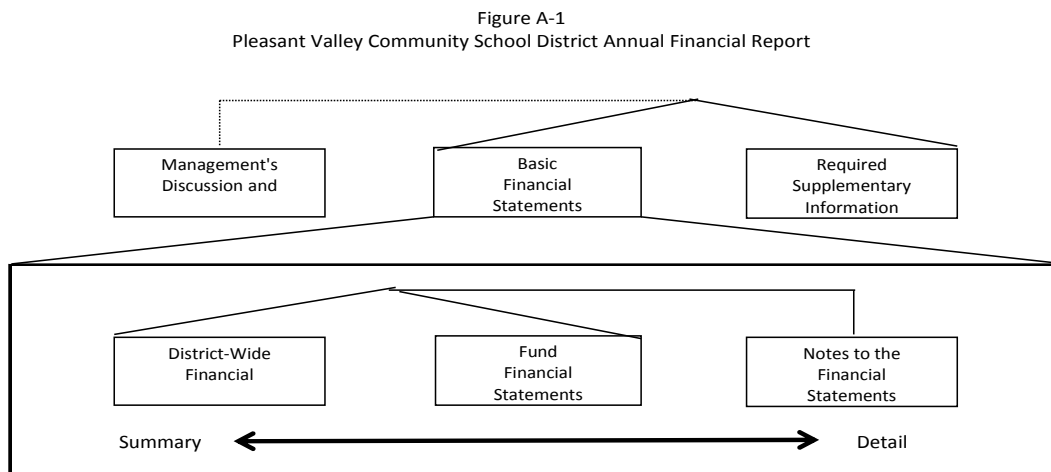
- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various programs benefitting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset and deferred outflows of resources /liability and deferred inflows of resources information	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, short-term and long-term	Generally, assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between the two statements. The District's major governmental funds for 2016-17 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes Agency Funds.

Agency Funds: These are funds for which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary assets and liabilities.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2017 compared to June 30, 2016.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	2016-17
Current and other assets	\$ 48,807,039	\$ 45,367,032	\$ 1,290,057	\$ 862,190	\$ 50,097,096	\$ 46,229,222	8.4%
Capital assets	65,693,830	54,744,512	446,365	523,807	66,140,195	55,268,319	19.7%
Total assets	114,500,869	100,111,544	1,736,422	1,385,997	116,237,291	101,497,541	14.5%
Deferred outflows of resources	7,390,344	6,560,025	207,636	128,786	7,597,980	6,688,811	13.6%
Long-term liabilities	40,702,373	28,024,918	481,141	368,715	41,183,514	28,393,633	45.0%
Other liabilities	13,227,872	11,391,673	103,198	97,535	13,331,070	11,489,208	16.0%
Total liabilities	53,930,245	39,416,591	584,339	466,250	54,514,584	39,882,841	36.7%
Deferred inflows of resources	19,755,216	23,024,975	65,766	86,098	19,820,982	23,111,073	-14.2%
Net position:							
Net investment in capital assets	48,923,365	46,357,427	446,365	523,807	49,369,730	46,881,234	5.3%
Restricted	8,779,479	7,618,033	5,189	7,646	8,784,668	7,625,679	15.2%
Unrestricted	(9,497,092)	(9,745,457)	842,399	430,982	(8,654,693)	(9,314,475)	-7.1%
Total net position	\$ 48,205,752	\$ 44,230,003	\$ 1,293,953	\$ 962,435	\$ 49,499,705	\$ 45,192,438	9.5%

The District's combined net position as of June 30, 2017 grew by \$4,307,267 (9.5%) over the June 30, 2016 combined net position. Net position in the governmental activities grew by \$3,975,749 (9.0%). The net position of the District's business-type activities increased by \$331,518 (3.5%).

The most significant factors for the increase in net position of the District were the District's continued planned increase in its cash reserve balances in its General Fund to protect itself against potential future cuts in state funding, the increase in cash balances being escrowed in the Capital Projects Funds for building construction and building addition projects and the significant improvements in progress during the 2016-17 fiscal year at various buildings throughout the District.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased by \$1,158,989 (15.2%) primarily due to increases in restrictions for physical plant and equipment levy and school infrastructure.

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$659,782 (7.1%) primarily due to changes in net pension liability.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Figure A-4 shows the changes in net position for the year ended June 30, 2017 compared to the year ended June 30, 2016.

Figure A-4 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	2016-17
Revenues:							
Program revenues:							
Charges for services	\$ 3,430,151	\$ 3,294,566	\$ 1,664,304	\$ 1,590,833	\$ 5,094,455	\$ 4,885,399	4.3%
Operating grants and contributions	6,619,414	7,726,677	628,697	582,902	7,248,111	8,309,579	-12.8%
Capital grants and contributions	200,000	-	-	-	200,000	-	100.0%
General revenues:							
Property taxes	20,169,309	19,008,201	-	-	20,169,309	19,008,201	6.1%
State foundation aid	21,128,076	18,552,175	-	-	21,128,076	18,552,175	13.9%
Statewide sales and services tax	4,343,875	4,194,086	-	-	4,343,875	4,194,086	3.6%
Other	1,385,137	1,358,703	6,713	4,243	1,391,850	1,362,946	2.1%
Total revenues	57,275,962	54,134,408	2,299,714	2,177,978	59,575,676	56,312,386	5.8%
Expenses:							
Instruction	35,265,428	33,550,060	-	-	35,265,428	33,550,060	5.1%
Support services	15,658,059	14,125,137	-	76,665	15,658,059	14,201,802	10.3%
Noninstructional	33,911	42,924	1,937,243	1,809,658	1,971,154	1,852,582	6.4%
Other	2,373,768	2,033,387	-	-	2,373,768	2,033,387	16.7%
Total expenses	53,331,166	49,751,508	1,937,243	1,886,323	55,268,409	51,637,831	7.0%
Change in net position before transfers	3,944,796	4,382,900	362,471	291,655	4,307,267	4,674,555	-7.9%
Transfers	30,953	30,025	(30,953)	(30,025)	-	-	0.0%
Increase in net position	3,975,749	4,412,925	331,518	261,630	4,307,267	4,674,555	-7.9%
Net position, beginning of year	44,230,003	39,817,078	962,435	700,805	45,192,438	40,517,883	
Net Position, end of year	\$ 48,205,752	\$ 44,230,003	\$ 1,293,953	\$ 962,435	\$ 49,499,705	\$ 45,192,438	

In 2016-17, local taxes (property taxes and statewide sales and services tax) and state foundation aid accounted for 79.7% of the revenue from governmental activities while charges for services and grants and contributions accounted for 99.7% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services, which account for 92.1% of the total expenses.

Total revenue for the District increased by \$3,263,290 (5.8%) in the fiscal year ended June 30, 2017. The most significant revenue category changes were due to an increase in property taxes and state foundation aid, offset by a decrease in operating grants and contributions. In the prior year, the District received \$1,371,446 in Teacher Leadership Program funds that had not been received in previous years. In the current year, Teacher Leadership Program funds of \$1,448,907 were distributed to the District as state aid. Property taxes increased by \$1,161,108 (6.1%) primarily due to an increase in assessed/taxable valuations in the District and the District's increased enrollment.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Total District expenses increased by \$3,630,578 (7.0%), primarily because of increases in expenditures for salaries and benefits (as a result of raises given to employees and new hires due to the District's enrollment growth) and an increase in expenditures for building addition and renovation related expenditures.

Figures A-5 and A-6, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2016-17 fiscal year.

**Figure A-5 - Sources of Revenues for
2016-2017 Fiscal Year**

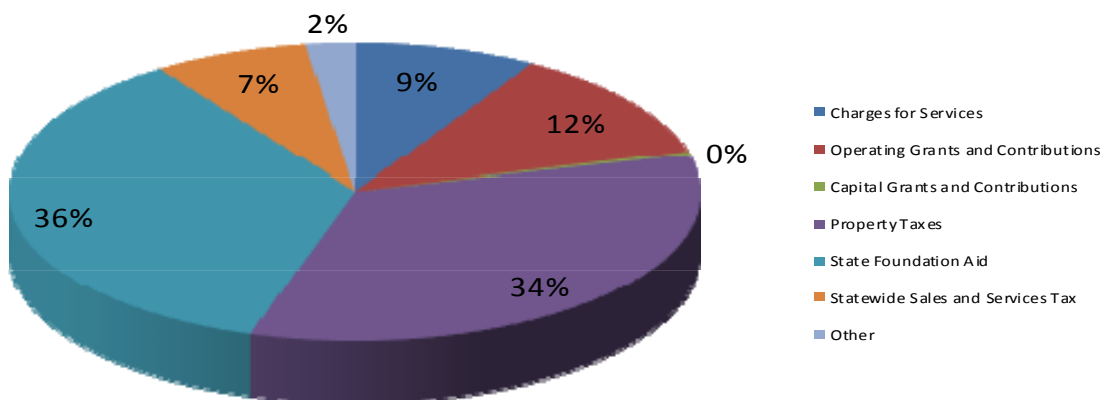
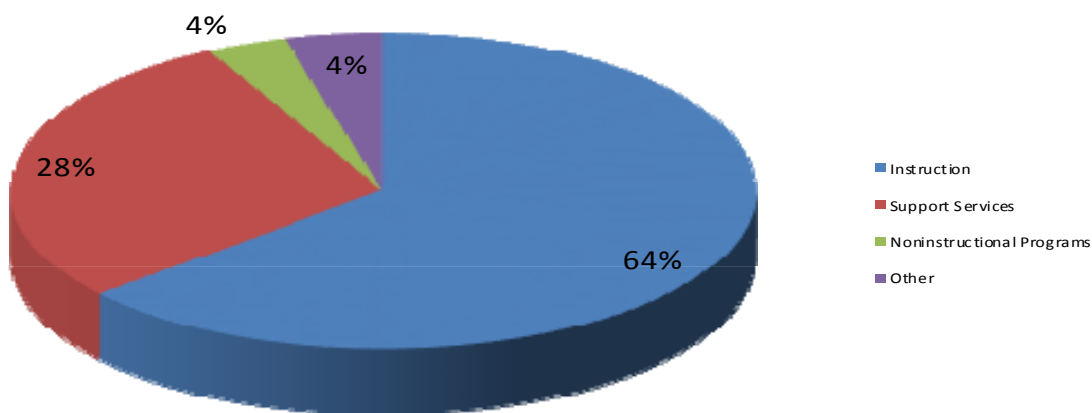


Figure A-6 - Expenses for 2016-17 Fiscal Year



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Governmental Activities

Revenue for the District's governmental activities in 2016-17 increased by \$3,141,554 (5.8%) from the previous year, while total expenses increased by \$3,579,658 (7.2%). Governmental activities net position as of June 30, 2017 increased by \$3,975,749 (9.0%) over the June 30, 2016 balance.

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2017 compared to the year ended June 30, 2016.

Figure A-7 Net Cost of Governmental Activities

	Total Cost of Services		Percentage Change	Net Cost of Services		Percentage Change
	June 30, 2017	June 30, 2016		June 30, 2017	June 30, 2016	
Instruction	\$ 35,265,428	\$ 33,550,060	5.11%	\$ 27,220,361	\$ 24,455,819	11.3%
Support services	15,658,059	14,125,137	10.85%	15,355,461	14,024,909	9.5%
Noninstructional	33,911	42,924	-21.00%	33,911	42,924	-21.0%
Other	2,373,768	2,033,387	16.74%	471,868	206,613	0.0%
Total	\$ 53,331,166	\$ 49,751,508	7.20%	\$ 43,081,601	\$ 38,730,265	11.2%

For the year ended June 30, 2017:

- The cost financed by the users of the District's programs was \$3,430,151.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$6,819,414.
- The net cost of governmental activities was financed with \$20,169,309 in property taxes, \$21,128,076 of unrestricted state grants, \$4,343,875 in statewide sales and services tax revenue, \$746,648 in other taxes, \$124,520 in investment earnings, \$513,589 in miscellaneous revenues and \$380 in gain on sale of capital assets.

For the year ended June 30, 2016:

- The cost financed by the users of the District's programs was \$3,294,566.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$7,726,677.
- The net cost of governmental activities was financed with \$19,008,201 in property taxes, \$18,552,175 of unrestricted state grants, \$4,194,086 in statewide sales and services tax revenue, \$761,249 in other taxes, \$87,857 in investment earnings and \$509,597 in miscellaneous revenues.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Business-Type Activities

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2016-17 were \$2,299,714; an increase of \$121,736 (5.6%) from 2015-16. The increase is primarily due to increases in the price per meal and number of meals served. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$1,937,243, an increase of \$50,920 (2.7%) from 2015-16, primarily due to the cost of food service operations in the current year.

Individual Fund Analysis

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$16,009,127, which reflects an increase of \$1,858,045 (13.1%) from last year's ending fund balances of \$14,151,082. The primary reasons for the increase in combined fund balances at the end of the 2016-17 fiscal year are:

- Increases in local sources revenue and state foundation aid.
- Unspent proceeds at the end of the fiscal year from the borrowing of funds for capital projects by issuing School Infrastructure Sales, Services and Use Tax Revenue Bonds.
- The accumulation of proceeds from the Statewide School Infrastructure Sales, Services and Use Tax to be used for future capital projects.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by \$710,633 (12.4%) from \$5,728,528 as of June 30, 2016 to \$6,439,161 as of June 30, 2017. The General Fund experienced an increase in state sources of revenue primarily due to increased enrollment.
- The fund balance in the Capital Projects Fund increased by \$1,100,841 (19.5%). The statewide sales, service and use tax generated \$151,247 more in revenue in 2016-17 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$2,662,429 compared to the prior year \$2,476,409 which represents a \$186,020 (7.5%) increase from 2015-16. During the current year, sales tax revenue bonds were issued of \$10,000,000. Total expenditures were \$14,502,254 in 2016-17 compared to \$11,017,785 in 2015-16. In the current year, major expenditures included the building additions for additional classroom space, etc. at Cody Elementary School, Pleasant Valley Junior High, Pleasant Valley High School and other facility improvements.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$331,518 (34.4%) during 2016-17.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

- The net position of the Internal Service Fund increased by \$176,344 (5.8%) during 2016-17. In April 2017, the District changed from a fully self-funded insurance plan to a partially self-funded high deductible plan where the District self-insures between the former deductible amounts and the new high deductible amounts.

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except blended component units, internal service funds, permanent funds and agency funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. This is the most significant reason for the amended budget showing \$15,085,852 more in expenditures than the original certified budget for the 2016-17 fiscal year. The other main reasons for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Capital Asset and Debt Administration

Capital Assets

By the end of the 2016-17 fiscal year, the District had invested \$66,140,195 (net of accumulated depreciation of \$40,243,141) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-8). This amount represents a net increase of \$10,871,876 or 19.7% from last year. The most significant additions were for building additions in process during 2016-17 at Cody Elementary School, Pleasant Valley Junior High School and Pleasant Valley High School (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$2,422,167.

Figure A-8 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Percentage
	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	Change 2016-17
Land	\$ 1,360,555	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555	\$ 1,360,555	0.0%
Buildings	38,210,829	37,460,597	-	-	38,210,829	37,460,597	2.0%
Improvements other than buildings	4,504,579	4,296,571	-	-	4,504,579	4,296,571	4.8%
Furniture and equipment	1,244,740	1,147,808	446,365	523,807	1,691,105	1,671,615	1.2%
Construction in progress	20,373,127	10,478,981	-	-	20,373,127	10,478,981	94.4%
Total	\$ 65,693,830	\$ 54,744,512	\$ 446,365	\$ 523,807	\$ 66,140,195	\$ 55,268,319	19.7%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Long-Term Liabilities

As of June 30, 2017, the District had \$18,410,000 in revenue bonds outstanding, \$81,787 in early retirement liabilities, \$981,884 in total compensated absence liabilities, \$1,584,164 in net OPEB liability, and \$23,543,466 in net pension liability for total outstanding long-term obligations of \$44,601,301 as reflected in Figure A-9 below. More detailed information about the District's long-term liabilities is available in Note 5 to the financial statements.

Figure A-9 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	June 30, 2017	June 30, 2016	2016-17
Revenue bonds	\$ 18,410,000	\$ 10,000,000	\$ -	\$ -	\$ 18,410,000	\$ 10,000,000	100.0%
Early retirement	81,787	317,406	-	-	81,787	317,406	-74.2%
Compensated absences	981,884	904,080	-	-	981,884	904,080	8.6%
Other	-	25,000	-	-	-	25,000	-100.0%
Net OPEB liability	1,571,756	1,389,588	12,408	9,147	1,584,164	1,398,735	13.3%
Net pension liability	23,074,733	17,725,636	468,733	359,568	23,543,466	18,085,204	30.2%
Total	\$ 44,120,160	\$ 30,361,710	\$ 481,141	\$ 368,715	\$ 44,601,301	\$ 30,730,425	45.1%

As of June 30, 2016, the District had \$10,000,000 in revenue bonds outstanding, \$317,406 in early retirement liabilities, \$904,080 in total compensated absence liabilities, \$25,000 in other long-term liabilities, \$1,398,735 in net OPEB liability, and \$18,085,204 in net pension liability for total outstanding long-term obligations of \$30,730,425.

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences are primarily made from the District's General Fund.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District continues to experience significant growth. The average annual growth in certified enrollment in the past ten years (2007-08 to 2016-17) has been 137.4 students per year. The District's certified enrollment is up 213.7 students for the 2016-17 fiscal year. The continuing growth is making it necessary for the District to begin several building addition and renovation projects over the next several years and also planning has begun for an additional (sixth) elementary school. The district issued \$10,000,000 of School Infrastructure Sales, Services and Use Tax Revenue Bonds in December, 2015 and October, 2016 to help finance these projects. Additional significant borrowing will likely be necessary over the next few years. While this growth has a positive impact, it also brings with it significant challenges in maintaining the District's infrastructure to accommodate this growth in an orderly and efficient manner.
- The Iowa Legislature set the supplemental state aid percentage (formerly known as the allowable growth rate) at 2.25% for the 2016-17 fiscal year and 1.11% for the 2017-18 fiscal year. The Iowa Legislature has not yet set the allowable growth rate for the 2018-19 fiscal year. As the District's

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

General Fund budget is comprised of approximately 80 percent salary and benefits, wage and salary adjustments arrived at through the District's formal negotiations process will have a significant impact on future budget spending decisions.

- The continuing impact of the implementation of the Affordable Care Act is concerning to the District due to the possibility of increased health insurance related costs.
- Employer and employee contribution rates for IPERS (Iowa Public Employees' Retirement System) are increasing for the 2018-19 fiscal year (effective July 1, 2018). The employee rate is increasing from 5.95% to 6.29%. The employer rate is increasing from 8.93% to 9.44%. This will need to be taken into account during negotiations with our collective bargaining unions for the contracts beginning July 1, 2018.
- In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted. The impact of these changes on future wage and salary adjustments has not been determined.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

Pleasant Valley Community School District

Statement of Net Position

June 30, 2017

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 26,765,937	\$ 1,279,182	\$ 28,045,119
Receivables:			
Property tax:			
Current year	65,539	-	65,539
Succeeding year	19,540,000	-	19,540,000
Accounts	727,649	680	728,329
Due from other governments	1,281,526	-	1,281,526
Inventories	-	10,057	10,057
Prepaid expenses	426,388	138	426,526
Capital assets:			
Nondepreciable	21,733,682	-	21,733,682
Depreciable, net	43,960,148	446,365	44,406,513
Total assets	114,500,869	1,736,422	116,237,291
Deferred Outflows of Resources,			
pension related deferred outflows	7,390,344	207,636	7,597,980
Liabilities			
Accounts payable	2,741,516	-	2,741,516
Salaries and benefits payable	4,929,558	-	4,929,558
Due to other governments	1,625,818	-	1,625,818
Claims incurred but not reported	268,289	-	268,289
Unearned revenue	244,904	103,198	348,102
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	2,490,000	-	2,490,000
Early retirement	81,787	-	81,787
Compensated absences	846,000	-	846,000
Portion due after one year:			
Revenue bonds	15,920,000	-	15,920,000
Compensated absences	135,884	-	135,884
Net OPEB liability	1,571,756	12,408	1,584,164
Net pension liability	23,074,733	468,733	23,543,466
Total liabilities	53,930,245	584,339	54,514,584
Deferred Inflows of Resources			
Deferred revenue from succeeding year property tax	19,540,000	-	19,540,000
Pension related deferred inflows	215,216	65,766	280,982
Total deferred inflows of resources	19,755,216	65,766	19,820,982
Net Position			
Net investment in capital assets	48,923,365	446,365	49,369,730
Restricted for:			
Categorical funding	634,569	-	634,569
Management levy	1,772,318	-	1,772,318
Physical plant and equipment levy	949,523	-	949,523
School infrastructure	4,382,953	-	4,382,953
Other special revenue purposes	658,972	-	658,972
Debt service	381,144	-	381,144
Other	-	5,189	5,189
Unrestricted	(9,497,092)	842,399	(8,654,693)
Total net position	\$ 48,205,752	\$ 1,293,953	\$ 49,499,705

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2017

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	\$ 26,703,792
Special instruction	3,806,549
Other	4,755,087
	<u>35,265,428</u>
Support services:	
Student services	1,921,235
Instructional staff services	3,487,286
Administration services	4,764,242
Operation and maintenance of plant services	3,675,409
Transportation services	1,809,887
	<u>15,658,059</u>
Noninstructional programs	<u>33,911</u>
Other expenditures:	
Long term debt interest	471,868
AEA flowthrough	1,901,900
	<u>2,373,768</u>
Total governmental activities	<u>53,331,166</u>
Business-type activities:	
Noninstructional programs, food service operations	<u>1,937,243</u>
Total business-type activities	<u>1,937,243</u>
Total	<u>\$ 55,268,409</u>
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Statewide sales and services tax	
Other taxes	
Unrestricted state grants	
Unrestricted investment earnings	
Gain on sale of capital assets	
Other	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year	
Net position, end of year	

See Notes to Financial Statements.

Program Revenues			Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$ 2,470,094	\$ 3,767,134	\$ -	\$ (20,466,564)	\$ -	\$ (20,466,564)
-	872,011	-	(2,934,538)	-	(2,934,538)
924,568	11,260	-	(3,819,259)	-	(3,819,259)
3,394,662	4,650,405	-	(27,220,361)	-	(27,220,361)
-	-	-	(1,921,235)	-	(1,921,235)
-	28,312	-	(3,458,974)	-	(3,458,974)
-	-	-	(4,764,242)	-	(4,764,242)
35,489	-	200,000	(3,439,920)	-	(3,439,920)
-	38,797	-	(1,771,090)	-	(1,771,090)
35,489	67,109	200,000	(15,355,461)	-	(15,355,461)
-	-	-	(33,911)	-	(33,911)
-	-	-	(471,868)	-	(471,868)
-	1,901,900	-	-	-	-
-	1,901,900	-	(471,868)	-	(471,868)
3,430,151	6,619,414	200,000	(43,081,601)	-	(43,081,601)
1,664,304	628,697	-	-	355,758	355,758
1,664,304	628,697	-	-	355,758	355,758
\$ 5,094,455	\$ 7,248,111	\$ 200,000	(43,081,601)	355,758	(42,725,843)
			16,859,573	-	16,859,573
			2,566,497	-	2,566,497
			743,239	-	743,239
			4,343,875	-	4,343,875
			746,648	-	746,648
			21,128,076	-	21,128,076
			124,520	6,713	131,233
			380	-	380
			513,589	-	513,589
			47,026,397	6,713	47,033,110
			30,953	(30,953)	-
			47,057,350	(24,240)	47,033,110
			3,975,749	331,518	4,307,267
			44,230,003	962,435	45,192,438
			\$ 48,205,752	\$ 1,293,953	\$ 49,499,705

Pleasant Valley Community School District

Balance Sheet
Governmental Funds
June 30, 2017

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 12,623,412	\$ 8,681,200	\$ 2,950,221	\$ 24,254,833
Receivables:				
Property tax:				
Current year	54,460	8,676	2,403	65,539
Succeeding year	16,460,000	2,530,000	550,000	19,540,000
Accounts	45,926	-	6,352	52,278
Due from other governments	701,331	580,195	-	1,281,526
Prepaid items	107,892	-	4,918	112,810
Total assets	\$ 29,993,021	\$ 11,800,071	\$ 3,513,894	\$ 45,306,986
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 380,910	\$ 2,298,060	\$ 59,212	\$ 2,738,182
Salaries and benefits payable	4,922,096	-	7,462	4,929,558
Due to other governments	1,625,818	-	-	1,625,818
Unearned revenue	165,036	-	79,868	244,904
Total liabilities	7,093,860	2,298,060	146,542	9,538,462
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	16,460,000	2,530,000	550,000	19,540,000
Statewide sales and services tax	-	219,397	-	219,397
Total deferred inflows of resources	16,460,000	2,749,397	550,000	19,759,397
Fund balances:				
Nonspendable	107,892	-	4,918	112,810
Restricted for:				
Categorical funding	634,569	-	-	634,569
Management levy	-	-	1,772,318	1,772,318
Physical plant and equipment levy	-	949,523	-	949,523
School infrastructure	-	5,803,091	-	5,803,091
Student activity purposes	-	-	658,972	658,972
Debt service	-	-	381,144	381,144
Assigned primarily for transportation	2,146,505	-	-	2,146,505
Unassigned	3,550,195	-	-	3,550,195
Total fund balances	6,439,161	6,752,614	2,817,352	16,009,127
Total liabilities, deferred inflows of resources, and fund balances	\$ 29,993,021	\$ 11,800,071	\$ 3,513,894	\$ 45,306,986

See Notes to Financial Statements.

Pleasant Valley Community School District

**Reconciliation of the Balance Sheet -
Governmental Funds to the Statement of Net Position
June 30, 2017**

Total fund balances of governmental funds	\$ 16,009,127
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	65,693,830
Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	219,397
The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	3,228,430
Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:	
Deferred outflows of resources	7,390,344
Deferred inflows of resources	(215,216)
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.	
Revenue bonds	(18,410,000)
Early retirement	(81,787)
Compensated absences	(981,884)
Net OPEB liability	(1,571,756)
Net pension liability	(23,074,733)
Net position of governmental activities	\$ 48,205,752

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2017

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 17,479,576	\$ 2,662,429	\$ 773,954	\$ 20,915,959
Tuition	2,100,209	-	-	2,100,209
Other	717,420	265,328	1,075,319	2,058,067
State sources	26,932,172	4,374,683	12,067	31,318,922
Federal sources	872,011	-	-	872,011
Total revenues	48,101,388	7,302,440	1,861,340	57,265,168
Expenditures:				
Current:				
Instruction	31,549,860	128,659	1,183,062	32,861,581
Support services:				
Student services	1,904,711	-	16,524	1,921,235
Instructional staff services	3,429,714	21,254	36,318	3,487,286
Administration services	4,207,727	223,873	35,099	4,466,699
Operation and maintenance of plant services	2,805,737	208,103	293,202	3,307,042
Transportation services	1,614,942	191,144	3,801	1,809,887
	13,962,831	644,374	384,944	14,992,149
Noninstructional programs	969	-	32,942	33,911
Other expenditures:				
Facilities acquisition	-	13,587,047	-	13,587,047
AEA flowthrough	1,901,900	-	-	1,901,900
	1,901,900	13,587,047	-	15,488,947
Debt service:				
Principal	-	-	1,590,000	1,590,000
Interest	-	142,174	329,694	471,868
	-	142,174	1,919,694	2,061,868
Total expenditures	47,415,560	14,502,254	3,520,642	65,438,456
Excess (deficiency) of revenues over (under) expenditures	685,828	(7,199,814)	(1,659,302)	(8,173,288)
Other financing sources (uses):				
Proceeds from sale of capital assets	380	-	-	380
Issuance of long term debt	-	10,000,000	-	10,000,000
Interfund transfers in	30,953	-	1,705,873	1,736,826
Interfund transfers (out)	(6,528)	(1,699,345)	-	(1,705,873)
Total other financing sources (uses)	24,805	8,300,655	1,705,873	10,031,333
Net change in fund balance	710,633	1,100,841	46,571	1,858,045
Fund balances, beginning of year	5,728,528	5,651,773	2,770,781	14,151,082
Fund balances, end of year	\$ 6,439,161	\$ 6,752,614	\$ 2,817,352	\$ 16,009,127

See Notes to Financial Statements.

Pleasant Valley Community School District

**Reconciliation of the Statement of Revenues, Expenditures and Changes in
Fund Balances - Governmental Funds to the Statement of Activities
Year Ended June 30, 2017**

Net change in fund balances - total governmental funds \$ 1,858,045

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Capital outlay	\$ 13,285,785	
Depreciation expense	(2,336,467)	
Proceeds from sale of capital assets	(380)	
Gain on sale of capital asset	380	10,949,318

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.

10,414

The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities.

176,344

The issuance of long-term debt provides current financial resources to governmental funds, while the repayments of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of debt increases liabilities in the Statement of Net Position, while the repayment of long-term debt reduces long-term liabilities. The following is the detail of the net effect of these differences in the treatment of long-term debt and related items:

Issuance of revenue bonds (10,000,000)

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Repayment of bond principal	1,590,000	
Other long-term liabilities	25,000	
Pension expense	(609,019)	
Early retirement	235,619	
Compensated absences	(77,804)	
Net OPEB liability	(182,168)	981,628

Change in net position of governmental activities

\$ 3,975,749

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Net Position

Proprietary Funds

June 30, 2017

	<u>Enterprise Fund</u>		<u>Internal</u>
	School		Service Fund
	Nutrition		
Assets			
Current:			
Cash and cash equivalents	\$ 1,279,182	\$ 2,511,104	
Accounts receivable	680	675,371	
Inventories	10,057	-	
Prepaid expense	138	313,578	
	<u>1,290,057</u>	<u>3,500,053</u>	
Noncurrent:			
Capital assets, net of accumulated depreciation	446,365	-	
Total assets	<u>1,736,422</u>	<u>3,500,053</u>	
Deferred Outflows of Resources,			
pension related deferred outflows	<u>207,636</u>	<u>-</u>	
Liabilities			
Current:			
Accounts payable	-	3,334	
Claims incurred but not reported	-	268,289	
Unearned revenue, other	103,198	-	
	<u>103,198</u>	<u>271,623</u>	
Noncurrent:			
Net OPEB liability	12,408	-	
Net pension liability	468,733	-	
Total liabilities	<u>584,339</u>	<u>271,623</u>	
Deferred Inflows of Resources,			
pension related deferred inflows	<u>65,766</u>	<u>-</u>	
Net Position			
Net investment in capital assets	446,365	-	
Restricted	5,189	-	
Unrestricted	842,399	3,228,430	
Total net position	<u>\$ 1,293,953</u>	<u>\$ 3,228,430</u>	

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position

Proprietary Funds

Year Ended June 30, 2017

	<u>Enterprise Fund</u> School Nutrition	<u>Internal Service Fund</u>
Operating revenues:		
Local sources, charges for services	\$ 1,664,304	\$ 5,386,075
Operating expenses:		
Support services:		
Benefits	-	53,312
Purchased services	-	5,127,970
Other	-	28,449
	-	5,209,731
Noninstructional programs:		
Salaries	546,229	-
Benefits	159,201	-
Purchased services	967	-
Supplies	1,145,146	-
Depreciation	85,700	-
	1,937,243	-
Total operating expenses	1,937,243	5,209,731
Operating income (loss)	(272,939)	176,344
Nonoperating revenues:		
Interest on investments	6,713	-
State sources	14,695	-
Federal sources	614,002	-
Total nonoperating revenues	635,410	-
Income before transfers	362,471	176,344
Transfers out	(30,953)	-
Change in net position	331,518	176,344
Net position, beginning of year	962,435	3,052,086
Net position, end of year	<u>\$ 1,293,953</u>	<u>\$ 3,228,430</u>

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2017

	Enterprise Fund School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 1,670,346	\$ -
Cash received from miscellaneous operating activities	-	5,309,774
Cash payments to employees for services	(692,186)	-
Cash payments to suppliers for goods or services	(923,124)	(5,761,140)
Net cash provided by (used in) operating activities	55,036	(451,366)
Cash flows from noncapital financing activities:		
Transfers to other funds	(30,953)	-
State grants received	14,695	-
Federal grants received	396,390	-
Net cash provided by noncapital financing activities	380,132	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(8,258)	-
Cash flows from investing activities, interest on investments	6,713	-
Net increase (decrease) in cash and cash equivalents	433,623	(451,366)
Cash and cash equivalents, beginning of year	845,559	2,962,470
Cash and cash equivalents, end of year	<u><u>\$ 1,279,182</u></u>	<u><u>\$ 2,511,104</u></u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (272,939)	\$ 176,344
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	85,700	-
Commodities used	217,612	-
(Increase) in accounts receivable	(391)	(76,301)
Decrease in inventories	4,423	-
(Increase) decrease in prepaid expenses	1,724	(313,578)
Increase (decrease) in accounts payable	(770)	1,858
Increase in net OPEB liability	3,261	-
Increase in pension and related deferrals	9,983	-
(Decrease) in claims incurred but not reported	-	(239,689)
Increase in unearned revenue	6,433	-
Net cash provided by (used in) operating activities	<u><u>\$ 55,036</u></u>	<u><u>\$ (451,366)</u></u>
Schedule of noncash items:		
Noncapital financing activities, federal commodities	<u><u>\$ 217,612</u></u>	<u><u>\$ -</u></u>

See Notes to Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Assets and Liabilities

Fiduciary Fund

June 30, 2017

	<u>Agency</u>
Assets	
Cash and pooled investments	\$ 36,926
Total assets	<u><u>\$ 36,926</u></u>
Liabilities	
Accounts payable	\$ 16,135
Due to other groups	20,791
Total liabilities	<u><u>\$ 36,926</u></u>

See Notes to Financial Statements.

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Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's nonmajor enterprise fund is the Nutrition Fund which accounts for the food service operations of the District.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds. The District's fiduciary funds include the following:

The Agency Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for District employee purchases of pop, funeral flowers, and related expenditures and expenditures for various club accounts. The Agency Fund is custodial in nature, assets equal liabilities and does not involve measurement of results of operations.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2015 assessed property valuations; is for the tax accrual period July 1, 2016 through June 30, 2017 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2016.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2017. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned \$2,146,505 for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue and the unamortized portion of the net difference between projected and actual earnings on pension plan investments.

The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension related deferred outflows in the government-wide statements and the proprietary fund statements.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent debt proceeds of \$1,639,535. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2017 consists of \$634,569 for categorical funding, \$1,772,318 for management levy purposes, \$949,523 for physical plant and equipment levy, \$4,382,953 for school infrastructure, \$658,972 for other special revenue purposes and \$381,144 for debt service.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2017, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The District's cash and pooled investment consisted of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits.

Custodial credit risk: The District's deposits in banks as of June 30, 2017 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The district does not have a separate custodial credit risk policy from state statutes.

Credit risk: The District does not have a separate credit risk or interest rate risk policy from state statutes. The District does not have any investments as of June 30, 2017.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2017 is as follows:

Transfer To	Transfer From	Amount
General	Nonmajor enterprise fund, Nutrition	30,953
Nonmajor governmental fund,		
Debt Service	Capital Projects	1,699,345
Student Activity	General	6,528
		<u>\$ 1,736,826</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds. Transfers from the Nutrition Fund to the General Fund are for indirect costs of the program.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2017 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555
Construction in progress	10,478,981	12,446,104	2,551,958	20,373,127
Total capital assets not being depreciated	11,839,536	12,446,104	2,551,958	21,733,682
Capital assets being depreciated:				
Buildings	64,853,048	2,493,669	-	67,346,717
Improvements other than buildings	7,246,110	574,997	-	7,821,107
Furniture and equipment	7,928,401	322,973	30,392	8,220,982
Total capital assets being depreciated	80,027,559	3,391,639	30,392	83,388,806
Less accumulated depreciation for:				
Buildings	27,392,451	1,743,437	-	29,135,888
Improvements other than buildings	2,949,539	366,989	-	3,316,528
Furniture and equipment	6,780,593	226,041	30,392	6,976,242
Total accumulated depreciation	37,122,583	2,336,467	30,392	39,428,658
Total capital assets being depreciated, net	42,904,976	1,055,172	-	43,960,148
Governmental activities capital assets, net	\$ 54,744,512	\$ 13,501,276	\$ 2,551,958	\$ 65,693,830
Business-type activities:				
Furniture and equipment	\$ 1,254,601	\$ 8,258	\$ 2,011	\$ 1,260,848
Less accumulated depreciation	730,794	85,700	2,011	814,483
Business-type activities capital assets, net	\$ 523,807	\$ (77,442)	\$ -	\$ 446,365

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District to the following functions:

Governmental activities:	
Instruction	\$ 2,175,333
Support services:	
Administration	69,029
Operation and maintenance of plant services	92,105
Total governmental activities depreciation expense	\$ 2,336,467
Business-type activities, food service operations	\$ 85,700

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2017 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2015	\$ 10,000,000	\$ -	\$ 1,590,000	\$ 8,410,000	\$ 1,620,000
Revenue bonds, Series 2016	-	10,000,000	-	10,000,000	870,000
Early retirement	317,406	-	235,619	81,787	81,787
Compensated absences	904,080	923,922	846,118	981,884	846,000
Other long-term liabilities	25,000	-	25,000	-	-
Net OPEB liability	1,389,588	182,168	-	1,571,756	-
Net pension liability	17,725,636	5,349,097	-	23,074,733	-
Total	\$ 30,361,710	\$ 16,455,187	\$ 2,696,737	\$ 44,120,160	\$ 3,417,787
Business-type activities:					
Net OPEB liability	\$ 9,147	\$ 3,261	\$ -	\$ 12,408	\$ -
Net pension liability	359,568	109,165	-	468,733	-
Total	\$ 368,715	\$ 112,426	\$ -	\$ 481,141	\$ -

Revenue bonds: In December 2015, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2015 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2017 through July 1, 2022. The bonds have an interest rate of 1.78 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2017 is \$8,864,101. During the year ended June 30, 2017, \$1,590,000 principal was paid and \$178,000 of interest was paid on the bonds. The statewide sales, services, and use tax revenues were \$4,333,461 for the year ended June 30, 2017. The pledge of statewide sales, service and use tax revenues constitutes approximately 42% of annual statewide sales, service and use tax revenues of the District.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

In October 2016, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2017 is \$11,242,836. During the year ended June 30, 2017, no principal was paid and \$144,278 of interest was paid on the bonds. The statewide sales, services, and use tax revenues were \$4,333,461 for the year ended June 30, 2017. The pledge of statewide sales, service and use tax revenues constitutes approximately 42% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2017, there was \$388,561 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2017, there was no amount deposited into a surplus account.

Annual debt service requirements on all outstanding indebtedness as of June 30, 2017, are as follows:

Year ending June 30:	Revenue Bonds, Series 2015		
	Principal	Interest	Total
2018	\$ 1,620,000	\$ 149,698	\$ 1,769,698
2019	1,650,000	120,862	1,770,862
2020	1,680,000	91,492	1,771,492
2021	1,715,000	60,988	1,775,988
2022	1,745,000	31,061	1,776,061
Totals	\$ 8,410,000	\$ 454,101	\$ 8,864,101

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Year ending June 30:	Revenue Bonds, Series 2016		
	Principal	Interest	Total
2018	870,000	196,000	\$ 1,066,000
2019	890,000	178,948	1,068,948
2020	905,000	161,504	1,066,504
2021	925,000	143,766	1,068,766
2022	945,000	125,636	1,070,636
2023	735,000	107,114	842,114
2024	750,000	92,708	842,708
2025	765,000	78,008	843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	\$ 10,000,000	\$ 1,242,836	\$ 11,242,836

As of June 30, 2017, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	1,595,277,188
Debt limit, 5% of total assessed valuation	\$ 79,763,859
Amount of debt applicable to debt limitation	18,410,000
Legal debt margin	<u>\$ 61,353,859</u>

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2017, the District had obligations to 7 participants with a total liability of \$81,787. Actual early retirement expenditures for the year ended June 30, 2017 totaled \$235,619. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Other long-term liabilities: In June 2012, the District signed a proposal regarding transfer of approximately 14 acres of land from Eastern Iowa Community College to the District. In return the District would provide improvements to the soccer field and baseball field. In addition, the District will contribute \$25,000 annually for four years to Scott Community College Foundation and \$25,000 annually for three years to fund an endowment with Pleasant Valley Educational Foundation for scholarships for the District students to attend Scott Community College. The final payment of \$25,000 was made in fiscal year 2017.

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District operates a single-employer retiree benefit plan which provides medical and prescription drug benefits for retirees and their spouses. There are 381 active and 21 retired members in the plan. Participants must be age 55 or older at retirement. The District does not have a separate, audited GAAP basis postemployment plan report.

The medical/prescription drug coverage is provided through a self-insured plan with stop-loss coverage provided by Wellmark and Delta Dental. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees, which results in an implicit subsidy and an OPEB liability.

Funding policy: The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis. For 2017, the District contributed \$33,289. The District's monthly premiums effective July 1, 2016 were \$502 single and \$1,252 family.

Annual OPEB cost and net OPEB obligation: The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

The following table shows the components of the District's annual OPEB cost for the year ended June 30, 2017, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

Annual required contribution	\$ 274,481
Interest on net OPEB obligation	34,968
Adjustment to annual required contribution	(90,731)
Annual OPEB cost	218,718
Contributions made	33,289
Increase in net OPEB obligation	185,429
Net OPEB obligation beginning of year	1,398,735
Net OPEB obligation end of year	<u><u>\$ 1,584,164</u></u>

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation as of June 30, 2017 and the two preceding years are summarized as follows:

Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
June 30, 2015	\$ 269,574	15.9%	\$ 1,170,224
June 30, 2016	267,862	14.7%	1,398,735
June 30, 2017	218,718	15.2%	1,584,164

Funded status and funding progress: As of July 1, 2016, the most recent actuarial valuation date for the period July 1, 2016 through June 30, 2017, the actuarial accrued liability was \$1,842,324, with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of \$1,842,324. The covered payroll (annual payroll of active employees covered by the plan) was approximately \$28,377,000 and the ratio of the UAAL to covered payroll was 6.49 percent. As of June 30, 2017, there were no trust fund assets.

Actuarial methods and assumptions: Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The Schedule of Funding Progress, presented as required supplementary information in the section following the notes to financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2016 actuarial valuation date, the entry age actuarial cost method was used. The actuarial assumptions include a 2.5 percent discount rate based on the District's funding policy. The projected annual medical trend rate is 6 percent with an inflation rate of 3%.

Mortality rates are from the RP 2000 Annuity Mortality Table projected to 2015 on a 2/3 female, 1/3 male gender basis.

The UAAL is being amortized as a level dollar of projected payroll expense on a closed basis over 30 years.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Transportation Contract

The District entered into a transportation contract/equipment lease for busing equipment and services required for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The lease runs for one-year increments. For the year ended June 30, 2017, the equipment portion of the lease called for monthly payments of \$1,600 per bus for up to 43 buses. The lease payments for the year ended June 30, 2017 totaled \$735,130.

Note 8. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2017, pursuant to the required rate, Regular members contributed 5.95 percent of covered payroll and the District contributed 8.93 percent of covered payroll for a total rate of 14.88 percent.

The District's contributions to IPERS for the year ended June 30, 2017 were \$2,534,271.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2017, the District reported a liability of \$23,543,466 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2016, the District's proportion was .3741027 percent, which was an increase of .008041 percent from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized pension expense of \$3,152,856. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 208,077	\$ 280,982
Changes of assumptions	359,200	-
Net difference between projected and actual earnings on pension plan investments	3,354,195	-
Changes in proportion and differences between District contributions and proportionate share of contributions	1,142,237	-
District contributions subsequent to the measurement date	2,534,271	-
Total	\$ 7,597,980	\$ 280,982

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

Deferred outflows of resources of \$2,534,271 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2018	\$ 814,157
2019	814,157
2020	2,004,513
2021	1,129,281
2022	20,619
Thereafter	-
Total	\$ 4,782,727

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2016 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2014)	3.00 percent per annum
Salary Increases (effective June 30, 2010)	4.00 percent to 17.00 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 1996)	7.50 percent per annum, compounded annually, net of pension plan, investment expense, including inflation
Wage growth (effective June 30, 1990)	4.00 percent per annum, based on 3.00 percent inflation and 1.00 percent real wage inflation

The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core plus fixed income	28%	1.90%
Domestic equity	24%	5.85%
International equity	16%	6.32%
Private equity/debt	11%	10.31%
Real estate	8%	3.87%
Credit opportunities	5%	4.48%
U.S. TIPS	5%	1.36%
Other real assets	2%	6.42%
Cash	1%	-0.26%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate.

	1% Decrease (6.50%)	Discount Rate (7.50%)	1% Increase (8.50%)
District's proportionate share of the net pension liability	\$ 38,090,143	\$ 23,543,466	\$ 11,265,881

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2017, the District reported payables to the defined benefit pension plan of \$316,079 for legally required employer contributions and \$210,601 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 9. Risk Management

During the year the District had a self-funded health and dental insurance plan. The District purchased commercial insurance to provide for aggregate stop-loss coverage for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess of \$50,000 in insured claims for any one covered individual. Settled claims have not exceeded the aggregate stop-loss coverage for the past three fiscal years.

In April 2017, the District transitioned from the fully self-funded health and dental insurance to a partially self-insured plan. The new plan provides for a high deductible plan. The District funds claims between the former deductible (\$1,500 family and \$750 single) and former maximum out of pocket (\$4,500 family and \$2,250 single) to the new deductible (\$10,000 family and \$5,000 single) and new maximum out of pocket (\$14,000 family and \$7,000 single).

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2017 and 2016 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2016	\$ 486,231	\$ 3,106,007	\$ 3,084,260	\$ 507,978
2017	507,978	3,870,621	4,110,310	268,289

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$1,901,900 for the year ended June 30, 2017 and is recorded in the General Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 11. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2017 is comprised of the following programs:

Program	Amount
Home school assistance	12,152
Gifted and talented	10,011
Dropout prevention	2,686
Four year old preschool	182,069
Model core curriculum	213,787
Teacher leadership	148,498
Successful progression for early readers	50,005
Professional development	4,262
Other	11,099
Total	\$ 634,569

Note 12. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2017 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of LeClaire, Iowa	Urban renewal and economic development projects	\$ 843,568
City of Bettendorf, Iowa	Urban renewal and economic development projects	49,454

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2017, this reimbursement amounted to \$425,784.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Commitments

The District has entered into various contracts totaling \$37,943,802 for elementary and junior high and high school classroom additions, parking lot improvements and restroom upgrades. As of June 30, 2017, costs of \$17,155,647 had been incurred against the contracts. The balance of \$20,788,155 remaining as of June 30, 2017 will be paid as work on the projects progress.

Note 14. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2017:

GASB Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, issued June 2016: This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement 43, and Statement No. 50, *Pension Disclosures*.

GASB Statement No. 77, *Tax Abatement Disclosures*, issued August 2016: This Statement is intended to provide additional information about tax abatements to the public to further the ability to assess how tax abatements affect the District's financial position and results of operations, including the District's ability to raise revenue sources in the futures. This Statement requires disclosure of tax abatement information about (1) a reporting government's own tax abatement agreements and (2) those that are entered into by other governments that reduce the reporting government's tax revenues.

GASB Statement No. 78, *Pensions Provided Through Certain Multiple-Employer Defined Benefit Pension Plans*, issued December 2016: The objective of this Statement is to address the scope and applicability of Statement No. 68, *Accounting and Financial Reporting for Pensions* to exclude pensions provided to employees of state or local governmental employers through a cost-sharing multiple-employer defined benefit pension plan that (1) is not a state or local governmental pension plan, (2) is used to provided defined benefit pensions to both employees of state and local governments and to employees who are not state or local governmental employees, and (3) has no predominate state or local government employer.

GASB Statement No. 80, *Blending Requirements for Certain Component Units – An Amendment of GASB Statement No. 14*, issued January 2017: This Statement amends the blending requirements for the for the financial statement presentation of component units of state and local governments. The additional criterion requires blending of a component unit incorporated as a not-for-profit corporation in which the primary government is the sole corporate member.

The implementation of the above statements did not have a material impact on the District's financial statements.

As of June 30, 2017, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, issued June 2016, will be effective for the District beginning with its year ending June 30, 2018. This Statement replaces the requirements of *Statements No. 45, Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and *No. 57, OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans, for OPEB*. *Statement No. 74, Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

GASB Statement No. 81, *Irrevocable Split-Interest Agreements*, issued March 2017, will be effective for the District beginning with its year ending June 30, 2018. The objective of this Statement is to improve accounting and financial reporting for irrevocable split-interest agreements by providing recognition and measurement guidance for situations in which a government is a beneficiary of the agreement.

GASB Statement No. 82, *Pension Issues – an amendment of GASB Statements No. 67, No. 68, and No. 73*, issued March 2017, will be effective for the District beginning with its year ending June 30, 2018. This Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued November 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement. This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs.

GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The focus of the identification criteria established by the Statement is on 1) whether a government is controlling the assets of the fiduciary activity and 2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. An activity meeting the criteria should be reported as a fiduciary fund in the basic financial statements. This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources.

GASB Statement No. 85, *Omnibus 2017*, issued March 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits (OPEB)).

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 86, *Certain Debt Extinguishment Issues*, issued May 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. The objective of this Statement is to improve accounting and financial reporting for in substance defeasance by providing guidance in transactions in which cash and other monetary assets acquired with only existing resources, resources other than those from proceeds of refunding debt, are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also provides guidance on prepaid insurance on debt that is extinguished and notes to the financial statements for debt that is defeased in substance.

GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. This Statement requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use a lease liability and an intangible right to use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources.

The District's management has determined the implementation of GASB Statement No. 75 will have a significant impact on the District's financial statements. The effect the other GASB Statements will have on the District's financial statements has not yet been determined.

Note 15. Subsequent Event

On September 11, 2017, the Board of Education authorized the District to issue \$10,000,000 in statewide sales, services and use tax revenue bonds. The bonds were issued in October 2017. The bonds bear interest at 1.94% payable semiannually on January 1 and July 1. Principal amounts ranging from \$350,000 to \$1,260,000 are payable annually on July 1 beginning on July 1, 2018 and maturing on July 1, 2029.

Pleasant Valley Community School District

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Required Supplementary Information
Year Ended June 30, 2017**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 25,074,235	\$ 1,671,017
State sources	31,318,922	14,695
Federal sources	872,011	614,002
Total revenues	57,265,168	2,299,714
Expenditures/expenses:		
Instruction	32,861,581	-
Support services	14,992,149	-
Noninstructional programs	33,911	1,937,243
Other expenditures	17,550,815	-
Total expenditures/expenses	65,438,456	1,937,243
Excess (deficiency) of revenues over (under) expenditures/expenses	(8,173,288)	362,471
Other financing sources (uses):		
Proceeds from sale of capital assets	380	-
Issuance of long term debt	10,000,000	-
Interfund transfers in	1,736,826	-
Interfund transfers out	(1,705,873)	(30,953)
Total other financing sources (uses)	10,031,333	(30,953)
Net change in fund balance	1,858,045	331,518
Balance, beginning of year	14,151,082	962,435
Balance, end of year	\$ 16,009,127	\$ 1,293,953

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual Variance
		Original	Final	
\$	26,745,252	\$ 26,211,615	\$ 26,211,615	\$ 533,637
	31,333,617	30,510,402	30,510,402	823,215
	1,486,013	1,345,499	1,345,499	140,514
	59,564,882	58,067,516	58,067,516	1,497,366
	32,861,581	33,741,796	39,174,502	6,312,921
	14,992,149	15,159,369	17,485,086	2,492,937
	1,971,154	2,053,299	3,264,949	1,293,795
	17,550,815	18,228,265	24,344,044	6,793,229
	67,375,699	69,182,729	84,268,581	16,892,882
	(7,810,817)	(11,115,213)	(26,201,065)	18,390,248
	380	500	500	(120)
	10,000,000	10,000,000	10,000,000	-
	1,736,826	10,632,211	10,632,211	(8,895,385)
	(1,736,826)	(10,632,210)	(10,632,210)	8,895,384
	10,000,380	10,000,501	10,000,501	(121)
	2,189,563	(1,114,712)	(16,200,564)	18,390,127
	15,113,517	15,113,517	15,113,517	-
\$	17,303,080	\$ 13,998,805	\$ (1,087,047)	\$ 18,390,127

Pleasant Valley Community School District

Required Supplementary Information

Schedule of Funding Progress for the Retiree Health Plan

Year Ended June 30, 2017

Year Ended June 30:	Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	AAL as a Percentage of Covered Payroll ((b-a)/c)
2012	7/1/2010	\$ -	\$ 1,576	\$ 1,576	0.00%	\$ 19,345	8.15%
2013	7/1/2012	-	1,540	1,540	0.00%	22,555	6.83%
2014	7/1/2012	-	1,506	1,506	0.00%	23,942	6.29%
2015	7/1/2014	-	2,126	2,126	0.00%	25,092	8.47%
2016	7/1/2014	-	2,126	2,126	0.00%	26,852	7.92%
2017	7/1/2016	-	1,842	1,842	0.00%	28,377	6.49%

See Note 6 in the accompanying notes to financial statements for the plan description, funding policy, annual OPEB cost and net OPEB obligation, funded status and funding progress.

Note: Amounts reported in thousands.

Pleasant Valley Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Three Fiscal Years

	2017*	2016*	2015*
District's proportion of the net pension liability	0.374103%	0.366061%	0.365605%
District's proportionate share of the net pension liability	\$ 23,543,466	\$ 18,085,204	\$ 14,499,546
District's covered-employee payroll	\$ 26,851,672	\$ 25,093,051	\$ 23,941,880
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	87.68%	72.07%	60.56%
Plan fiduciary net pension as a percentage of the total pension liability	81.82%	85.19%	87.61%

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

See Notes to Required Supplementary Information.

Pleasant Valley Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2017		2016		2015		2014	
Statutorily required contribution	\$	2,534	\$	2,398	\$	2,241	\$	2,138
Contributions in relation to the statutorily required contribution	\$	(2,534)	\$	(2,398)	\$	(2,241)	\$	(2,138)
Contribution deficiency (excess)	\$	-	\$	-	\$	-	\$	-
District's covered-employee payroll	\$	28,377	\$	26,852	\$	25,093	\$	23,942
Contributions as a percentage of covered-employee payroll		8.93%		8.93%		8.93%		8.93%

See Notes to Required Supplementary Information.

2013	2012	2011	2010	2009	2008
\$ 1,913	\$ 1,681	\$ 1,345	\$ 1,295	\$ 1,178	\$ 1,030
\$ (1,913)	\$ (1,681)	\$ (1,345)	\$ (1,295)	\$ (1,178)	\$ (1,030)
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
\$ 22,065	\$ 20,831	\$ 19,345	\$ 19,472	\$ 18,551	\$ 17,023
8.67%	8.07%	6.95%	6.65%	6.35%	6.05%

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$15,085,852.

During the year ended June 30, 2017, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

In 2008, legislative action transferred four groups – emergency medical service providers, county jailors, county attorney investigators, and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

Changes of assumptions:

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increased assumptions based on various service duration.

The 2007 valuation adjusted the application of the entry age normal cost method to better match projected contributions to the projected salary stream in the future years. It also included in the calculation of the UAL amortization payments the one-year leg between the valuation date and the effective date of the annual actuarial contribution rate.

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2017

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Assets				
Cash and pooled investments	\$ 1,770,067	\$ 791,593	\$ 388,561	\$ 2,950,221
Receivables:				
Property tax:				
Current year	2,403	-	-	2,403
Succeeding year	550,000	-	-	550,000
Accounts	-	6,352	-	6,352
Prepaid items	-	4,918	-	4,918
Total assets	\$ 2,322,470	\$ 802,863	\$ 388,561	\$ 3,513,894
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 152	\$ 51,643	\$ 7,417	\$ 59,212
Salaries and benefits payable	-	7,462	-	7,462
Unearned revenue	-	79,868	-	79,868
Total liabilities	152	138,973	7,417	146,542
Deferred inflows of resources,				
Unavailable revenue-succeeding				
year property tax	550,000	-	-	550,000
Fund balances:				
Nonspendable	-	4,918	-	4,918
Restricted	1,772,318	658,972	381,144	2,812,434
Total fund balances	1,772,318	663,890	381,144	2,817,352
Total liabilities, deferred inflows of resources and fund balances	\$ 2,322,470	\$ 802,863	\$ 388,561	\$ 3,513,894

Pleasant Valley Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2017

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Local tax	\$ 773,954	\$ -	\$ -	\$ 773,954
Other	137,378	930,786	7,155	1,075,319
State sources	12,067	-	-	12,067
Total revenues	923,399	930,786	7,155	1,861,340
Expenditures:				
Current:				
Instruction	248,564	934,498	-	1,183,062
Support services:				
Student services	16,524	-	-	16,524
Instructional staff services	36,318	-	-	36,318
Administration services	28,537	6,562	-	35,099
Operation and maintenance of plant services	288,535	4,667	-	293,202
Transportation services	3,801	-	-	3,801
Noninstructional programs	32,942	-	-	32,942
Debt Service:				
Principal	-	-	1,590,000	1,590,000
Interest	-	-	329,694	329,694
Total expenditures	655,221	945,727	1,919,694	3,520,642
Excess (deficiency) of revenues over (under) expenditures	268,178	(14,941)	(1,912,539)	(1,659,302)
Other financing sources:				
Transfers in	-	6,528	1,699,345	1,705,873
Total other financing sources	-	6,528	1,699,345	1,705,873
Net change in fund balances	268,178	(8,413)	(213,194)	46,571
Fund balances, beginning of year	1,504,140	672,303	594,338	2,770,781
Fund balances, end of year	\$ 1,772,318	\$ 663,890	\$ 381,144	\$ 2,817,352

Pleasant Valley Community School District

Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2017

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 7,611,290	\$ 1,069,910	\$ 8,681,200
Receivables:			
Property tax:			
Current year	-	8,676	8,676
Succeeding year	-	2,530,000	2,530,000
Due from other governments	580,195	-	580,195
Total assets	\$ 8,191,485	\$ 3,608,586	\$ 11,800,071
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 2,168,997	\$ 129,063	\$ 2,298,060
Total liabilities	2,168,997	129,063	2,298,060
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	2,530,000	2,530,000
Unavailable revenue-statewide sales and services tax	219,397	-	219,397
Total deferred inflows of resources	219,397	2,530,000	2,749,397
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	949,523	949,523
School infrastructure	5,803,091	-	5,803,091
Total fund balances	5,803,091	949,523	6,752,614
Total liabilities and fund balances	\$ 8,191,485	\$ 3,608,586	\$ 11,800,071

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
 Capital Project Fund - By Account
 Year Ended June 30, 2017

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	\$ 2,662,429	\$ 2,662,429
Other	48,184	217,144	265,328
State sources	4,333,461	41,222	4,374,683
Total revenues	4,381,645	2,920,795	7,302,440
Expenditures:			
Current:			
Instruction	-	128,659	128,659
Support services:			
Instructional staff services	-	21,254	21,254
Administration services	-	223,873	223,873
Operation and maintenance of plant services	-	208,103	208,103
Transportation services	-	191,144	191,144
Other expenditures, facilities acquisition	11,420,221	2,166,826	13,587,047
Debt service, bond issuance costs	142,174	-	142,174
Total expenditures	11,562,395	2,939,859	14,502,254
(Deficiency) of revenues (under) expenditures	(7,180,750)	(19,064)	(7,199,814)
Other financing sources (uses):			
Issuance of long term debt	10,000,000	-	10,000,000
Transfers in	-	600,000	600,000
Transfers out	(2,299,345)	-	(2,299,345)
Total other financing sources (uses)	7,700,655	600,000	8,300,655
Net change in fund balance	519,905	580,936	1,100,841
Fund balance, beginning of year	5,283,186	368,587	5,651,773
Fund balance, end of year	\$ 5,803,091	\$ 949,523	\$ 6,752,614

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2017

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
P.V.J.H. Athletics	\$ 5,684	\$ 849	\$ 1,967	\$ 4,566
P.V.J.H. Band	2,463	11,095	9,682	3,876
P.V.J.H. Vocal Music	167	1,551	1,681	37
P.V.J.H. Bookstore	174	2,988	2,988	174
P.V.J.H. Drama	7,653	4,314	5,909	6,058
P.V.J.H. Chorus	1,397	3,920	3,451	1,866
P.V.J.H. General Activities	7,589	6,809	4,003	10,395
P.V.J.H. PTA	1,487	13	13	1,487
P.V.J.H. Home Economics	1,697	15	-	1,712
P.V.J.H. Quest Program	327	-	-	327
P.V.J.H. Science	14	-	-	14
P.V.J.H. Special Olympics	197	-	-	197
P.V.J.H. Student Council	2,014	870	1,328	1,556
P.V.J.H. Weightlifting Club	890	3,540	4,430	-
P.V.J.H. Orchestra	627	5,655	3,897	2,385
P.V.J.H. Yearbook	5,131	13,165	13,462	4,834
Bridgeview Bookstore	625	-	-	625
Bridgeview General Activities	16,315	2,880	3,134	16,061
Bridgeview PTA Donations	-	9,654	9,654	-
Bridgeview Yearbook	115	2,109	2,224	-
Bridgeview Student Activity	9	-	-	9
Bridgeview Vocal Music	67	-	-	67
Cody Band	3	-	-	3
Cody Book Club	1,352	525	1,653	224
Cody Bookstore	295	-	-	295
Cody Candy Sales	1,206	1,869	1,412	1,663
Cody General Activities	28,809	2,591	4,020	27,380
Cody Student Fund	429	-	-	429
Cody Vocal Music	-	200	109	91
Cody Yearbook	4,508	1,812	1,658	4,662
Cody Student Council	65	-	-	65
Cody PTA Donations	10	9,781	9,791	-
Hopewell General Activities	12,511	9,599	7,586	14,524
Hopewell PTA	4,662	10,185	14,578	269
Hopewell Book Club	920	2,068	586	2,402
Hopewell Vocal Music	62	200	201	61
Hopewell Yearbook	2,242	7,244	7,488	1,998
Pleasant View General Activities	22,106	5,438	7,193	20,351
Pleasant View PTA	4,193	14,580	15,098	3,675
Pleasant View Vocal Music	562	-	-	562
Pleasant View Book Club	324	2,362	2,180	506
Pleasant View Yearbook	402	8,753	9,155	-
Riverdale Book Club	3,697	795	1,653	2,839

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2017

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
Riverdale Bookstore	\$ 249	\$ -	\$ -	\$ 249
Riverdale Jump for Heart	42	-	-	42
Riverdale General Activities	18,382	5,441	5,961	17,862
Riverdale PTA	5,061	1,593	2,681	3,973
Riverdale Student Council	1,652	-	-	1,652
Riverdale Science	843	-	-	843
Riverdale Band	500	-	-	500
Riverdale Vocal Music	35	-	-	35
Riverdale Yearbook	1,370	5,653	3,483	3,540
District-Wide Garage Sale	1,234	-	-	1,234
District-Wide Wellness	219	-	-	219
District-Wide STEM Night	240	272	251	261
Interest	45,373	1,487	-	46,860
6th Grade Choir	1,987	271	323	1,935
High School Activities:				
General Administrative	199	2,613	2,557	255
Clubs and Organizations	66,470	154,993	147,925	73,538
Drama	67,971	114,467	142,364	40,074
Therapy Dog	526	-	-	526
High School Athletics	107,943	38,410	33,396	112,957
Sparkles	2,336	-	-	2,336
Music Clubs	33,717	52,510	55,020	31,207
Habitat	65	-	-	65
FCCLA	1,115	-	-	1,115
Croquet/Gentlemen's Club	151	-	25	126
PV Pals	1,016	56	-	1,072
PV Shining Stars	185	-	131	54
PVMCSA	145	-	-	145
Multi-occupations	72	-	-	72
First Robotics Club	2,549	5,875	4,588	3,836
Valenian	2,121	68,000	61,941	8,180
Athletic Support Groups	124,687	474,254	468,866	130,075
Interest	40,848	2,716	7,675	35,889
Nonspendable Prepaid Items	-	4,918	-	4,918
Intrafund Transfers	-	143,644	143,644	-
Total	\$ 672,303	\$ 937,314	\$ 945,727	\$ 663,890

Pleasant Valley Community School District

Schedule of Changes in Fiduciary Assets and Liabilities

Agency Fund

Year Ended June 30, 2017

	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Assets				
Cash and pooled investments	\$ 30,619	\$ 77,612	\$ 71,305	\$ 36,926
Total assets	<u>\$ 30,619</u>	<u>\$ 77,612</u>	<u>\$ 71,305</u>	<u>\$ 36,926</u>
Liabilities				
Accounts payable	\$ 1,221	\$ 62,437	\$ 47,523	\$ 16,135
Due to other groups	29,398	85,533	94,140	20,791
Total liabilities	<u>\$ 30,619</u>	<u>\$ 147,970</u>	<u>\$ 141,663</u>	<u>\$ 36,926</u>

Pleasant Valley Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	68 - 81
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	
Revenue Capacity	82 - 86
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	87 - 92
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic and Economic Information	93 - 94
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments	
Operating Information	95 - 102
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Pleasant Valley Community School District

**Net Position by Component
Last Ten Fiscal Years
(*accrual basis of accounting*)
(Unaudited)**

	Fiscal Year			
	2008	2009	2010	2011
Governmental activities:				
Net investment in				
capital assets	\$ 24,754,540	\$ 26,094,340	\$ 32,674,586	\$ 35,416,366
Restricted	8,401,785	9,522,712	2,604,812	2,589,500
Unrestricted	298,085	51,532	1,776,273	3,262,040
Business-type activities				
Net investment in				
capital assets	407,386	383,011	615,381	556,585
Restricted	-	-	-	20,500
Unrestricted	204,266	240,923	356,830	426,911
Total primary government				
net position	<u>\$ 34,066,062</u>	<u>\$ 36,292,518</u>	<u>\$ 38,027,882</u>	<u>\$ 42,271,902</u>

* Implemented GASB Statement No. 68
Source: District financial records

Fiscal Year					
2012	2013	2014*	2015	2016	2017
\$ 39,438,488	\$ 42,382,057	\$ 44,512,322	\$ 47,577,526	\$ 46,357,427	\$ 48,923,365
2,059,359	2,240,011	2,972,549	3,299,023	7,618,033	8,779,479
3,477,612	3,488,313	(13,208,319)	(11,059,471)	(9,745,457)	(9,497,092)
823,880	738,225	664,469	583,135	523,807	446,365
18,333	5,264	11,156	10,843	7,646	5,189
287,018	251,117	(51,931)	106,827	430,982	842,399
\$ 46,104,690	\$ 49,104,987	\$ 34,900,246	\$ 40,517,883	\$ 45,192,438	\$ 49,499,705

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Expenses:				
Governmental activities:				
Regular instruction	\$ 14,229,944	\$ 15,987,353	\$ 16,087,293	\$ 17,377,707
Special instruction	3,213,466	3,218,555	3,345,159	3,094,014
Other instruction	2,349,007	3,093,787	3,418,467	3,082,738
Student services	828,577	985,822	989,167	1,002,834
Instructional staff services	1,174,235	1,354,842	1,416,350	1,241,087
Administration services	2,827,081	3,111,140	3,093,443	3,167,175
Operation and maintenance of plant services	2,422,360	2,272,373	2,219,433	2,352,852
Transportation services	1,255,851	1,364,898	1,359,966	1,476,472
Noninstructional	8,482	27,014	34,120	31,633
Interest on long-term debt	3,653	109	-	-
AEA flowthrough	1,105,685	1,213,051	1,378,910	1,426,627
Depreciation (unallocated)	1,048,486	1,132,464	1,161,772	1,160,776
Total governmental activities	30,466,827	33,761,408	34,504,080	35,413,915
Business-type activities:				
Administration Service	-	21,076	22,508	25,939
Operation and maintenance of plant services	59,103	39,219	21,089	39,784
Food service operations	1,254,009	1,336,918	1,284,572	1,278,738
Total business-type activities	1,313,112	1,397,213	1,328,169	1,344,461
Total primary government expenses	31,779,939	35,158,621	35,832,249	36,758,376
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	1,949,687	2,069,140	2,082,351	2,241,370
Special instruction	81,723	51,062	43,439	11,250
Other instruction	673,520	689,438	684,347	673,335
Support services	19,122	15,740	11,544	13,186
Operating grants and contributions	3,435,421	4,717,047	6,595,552	5,061,403
Capital grants and contributions	-	-	-	829,521
Total governmental activities	6,159,473	7,542,427	9,417,233	8,830,065
Business-type activities:				
Charges for services:				
Food service operations	1,058,076	1,099,687	1,083,719	1,026,912
Operating grants and contributions	284,489	305,758	352,830	351,094
Capital grants and contributions	-	-	237,385	-
Total business-type activities	1,342,565	1,405,445	1,673,934	1,378,006
Total primary government revenues	7,502,038	8,947,872	11,091,167	10,208,071
Net (expense) revenues:				
Total governmental activities	(24,307,354)	(26,218,981)	(25,086,847)	(26,583,850)
Total business-type activities	29,453	8,232	345,765	33,545
Total primary government revenues	\$ (24,277,901)	\$ (26,210,749)	\$ (24,741,082)	\$ (26,550,305)

Source: District financial records

Fiscal Year											
2012		2013		2014		2015		2016		2017	
\$	18,857,785	\$	21,218,305	\$	23,050,148	\$	23,184,329	\$	25,438,186	\$	26,703,792
	3,375,620		3,234,334		3,468,985		3,526,775		3,685,199		3,806,549
	3,375,699		3,689,360		4,306,623		4,584,831		4,426,675		4,755,087
	1,141,984		1,351,144		1,612,251		1,653,333		1,805,292		1,921,235
	1,704,451		1,516,098		1,747,264		1,837,349		3,217,189		3,487,286
	3,670,053		3,898,423		4,278,116		3,492,635		3,730,755		4,764,242
	2,495,867		3,179,559		3,986,499		3,811,382		3,683,918		3,675,409
	1,362,563		1,285,740		1,346,380		1,368,313		1,687,983		1,809,887
	24,476		17,808		18,959		20,941		42,924		33,911
	-		-		-		-		206,613		471,868
	1,380,061		1,476,199		1,638,338		1,744,881		1,826,774		1,901,900
	1,567,684		248,002		-		-		-		-
	38,956,243		41,114,972		45,453,563		45,224,769		49,751,508		53,331,166
	30,397		40,932		34,856		56,128		44,303		-
	47,491		45,426		60,236		60,236		32,362		-
	1,457,413		1,623,660		1,731,856		1,756,835		1,809,658		1,937,243
	1,535,301		1,710,018		1,826,948		1,873,199		1,886,323		1,937,243
	40,491,544		42,824,990		47,280,511		47,097,968		51,637,831		55,268,409
	2,267,346		2,145,168		2,169,067		2,306,499		2,383,423		2,470,094
	6,216		7,027		46,159		880		-		-
	703,029		730,854		902,136		928,278		874,540		924,568
	20,181		31,620		32,940		28,130		36,603		35,489
	5,471,355		5,057,477		5,529,965		6,028,330		7,726,677		6,619,414
	-		-		-		-		-		200,000
	8,468,127		7,972,146		8,680,267		9,292,117		11,021,243		10,249,565
	1,147,332		1,253,276		1,410,966		1,517,506		1,590,833		1,664,304
	360,182		419,960		489,200		579,884		582,902		628,697
	249,500		-		-		-		-		-
	1,757,014		1,673,236		1,900,166		2,097,390		2,173,735		2,293,001
	10,225,141		9,645,382		10,580,433		11,389,507		13,194,978		12,542,566
	(30,488,116)		(33,142,826)		(36,773,296)		(35,932,652)		(38,730,265)		(43,081,601)
	221,713		(36,782)		73,218		224,191		287,412		355,758
\$	(30,266,403)	\$	(33,179,608)	\$	(36,700,078)	\$	(35,708,461)	\$	(38,442,853)	\$	(42,725,843)

Pleasant Valley Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	10,329,281	11,610,216	12,338,121	13,123,314
Capital projects	1,172,676	1,326,489	1,423,702	1,448,716
Other specific purposes				
Statewide sales and services tax	3,146,048	3,120,734	2,593,647	3,024,239
Other taxes				650,915
Unrestricted grants	12,335,394	12,541,781	10,505,487	12,638,289
Miscellaneous	171,551	144,195	181,219	308,774
Investment earnings	305,682	206,738	70,425	53,944
Transfers				5,685
Total governmental activities	27,460,632	28,950,153	27,112,601	31,253,876
Business-type activities:				
Investment earnings	17,301	4,050	2,512	3,925
Transfers				(5,685)
Total business-type activities	17,301	4,050	2,512	(1,760)
Total primary government	27,477,933	28,954,203	27,115,113	31,252,116
Change in net position:				
Total governmental activities	1,241,651	3,863,306	528,751	765,760
Total business-type activities	25,533	349,815	36,057	219,953
Total primary government	\$ 1,267,184	\$ 4,213,121	\$ 564,808	\$ 985,713

Source: District financial records

Fiscal Year					
2012	2013	2014	2015	2016	2017
13,418,948	13,912,454	14,939,441	15,411,593	15,937,619	16,859,573
1,896,509	2,053,152	2,157,906	2,268,217	2,379,912	2,566,497
	598,148	629,038	661,553	690,670	743,239
3,192,316	3,443,992	3,680,667	4,080,583	4,194,086	4,343,875
690,774	670,829	624,049	703,284	761,249	746,648
14,533,843	15,257,879	17,312,624	17,785,894	18,552,175	21,128,076
274,649	194,892	325,442	344,825	509,597	513,969
89,130	46,402	53,815	67,229	87,857	124,520
99,500	100,000	100,000	150,000	30,025	30,953
34,195,669	36,277,748	39,822,982	41,473,178	43,143,190	47,057,350
3,022	2,157	2,190	2,920	4,243	6,713
(99,500)	(100,000)	(100,000)	(150,000)	(30,025)	(30,953)
(96,478)	(97,843)	(97,810)	(147,080)	(25,782)	(24,240)
34,099,191	36,179,905	39,725,172	41,326,098	43,117,408	47,033,110
1,052,843	(495,548)	3,890,330	2,742,913	4,412,925	3,975,749
(133,260)	(24,625)	126,381	140,332	261,630	331,518
\$ 919,583	\$ (520,173)	\$ 4,016,711	\$ 2,883,245	\$ 4,674,555	\$ 4,307,267

Pleasant Valley Community School District

Fund Balances, Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
General Fund:				
Nonspendable	\$ -	\$ -	\$ -	\$ 107,036
Restricted	-	-	-	341,798
Assigned	-	-	-	1,076,177
Unassigned	-	-	-	824,786
Reserved	138,141	163,283	304,052	-
Unreserved	1,194,917	1,298,207	1,066,575	-
Total General Fund	1,333,058	1,461,490	1,370,627	2,349,797
All other governmental funds:				
Nonspendable	-	-	-	6,082
Restricted for:				
Capital projects funds	-	-	-	1,099,404
Debt service	-	-	-	-
Special revenue funds	-	-	-	1,491,566
Reserved	2,690	2,263	2,244	-
Unreserved, reported in:				
Capital projects funds	5,477,260	6,202,168	1,113,910	-
Special revenue funds	1,284,262	1,670,434	1,568,387	-
Unassigned	-	-	-	-
Total all other governmental funds	6,764,212	7,874,865	2,684,541	2,597,052
Total governmental funds	\$ 8,097,270	\$ 9,336,355	\$ 4,055,168	\$ 4,946,849

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* , implemented in fiscal year 2011

Source: District financial records

Fiscal Year						
2012	2013	2014	2015	2016	2017	
\$ 80,614	\$ 67,445	\$ 135,876	\$ 67,078	\$ 130,038	\$ 107,892	
339,158	343,577	351,165	379,954	600,523	634,569	
1,084,957	1,537,285	1,841,702	1,854,244	2,040,642	2,146,505	
1,684,542	1,853,782	2,252,617	3,101,609	2,957,325	3,550,195	
-	-	-	-	-	-	
-	-	-	-	-	-	
3,189,271	3,802,089	4,581,360	5,402,885	5,728,528	6,439,161	
5,281	2,182	7,470	6,131	1,112	4,918	
168,015	48,175	497,894	564,012	5,651,773	6,752,614	
-	-	-	-	594,338	381,144	
1,552,186	1,752,553	1,937,684	2,157,946	2,175,331	2,431,290	
-	-	-	-	-	-	
-	-	-	-	-	-	
-	-	-	-	-	-	
-	(78,676)	-	-	-	-	
1,725,482	1,724,234	2,443,048	2,728,089	8,422,554	9,569,966	
\$ 4,914,753	\$ 5,526,323	\$ 7,024,408	\$ 8,130,974	\$ 14,151,082	\$ 16,009,127	

Pleasant Valley Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Local sources:				
Property taxes	\$ 11,494,759	\$ 12,925,800	\$ 13,754,003	\$ 14,572,030
Local option sales and services taxes	3,146,048	3,120,735	2,593,647	2,879,239
Other taxes	-	-	-	650,915
Interest income	305,682	144,195	70,425	53,944
Other revenues	3,083,110	3,264,266	3,228,964	3,432,820
Total local sources	18,029,599	19,454,996	19,647,039	21,588,948
State sources:				
Statewide sales, services and use tax	-	-	-	-
State foundation aid and state grants	\$ 15,093,333	\$ 16,083,230	\$ 14,308,611	\$ 16,628,060
Total state sources	15,093,333	16,083,230	14,308,611	16,628,060
Federal sources, federal grants	494,426	939,513	2,563,579	886,727
Total revenues	\$ 33,617,358	\$ 36,477,739	\$ 36,519,229	\$ 39,103,735

Source: District financial records

Fiscal Year						
2012	2013	2014	2015	2016	2017	
\$ 15,300,800	\$ 16,551,212	\$ 17,726,385	\$ 18,341,363	\$ 19,008,201	\$ 20,915,959	
3,192,316	3,443,992	-	-	-	-	
690,774	670,829	624,049	703,284	761,249	746,648	
89,130	46,402	53,815	67,229	87,857	124,520	
3,438,637	3,272,005	3,547,653	3,598,092	3,606,539	3,287,108	
22,711,657	23,984,440	21,951,902	22,709,968	23,463,846	25,074,235	
-	-	3,668,835	4,067,504	4,182,214	4,333,461	
\$ 18,487,056	\$ 19,450,611	\$ 21,968,271	\$ 22,963,212	\$ 25,572,441	\$ 26,985,461	
18,487,056	19,450,611	25,637,106	27,030,716	29,754,655	31,318,922	
1,350,925	698,506	798,107	851,012	904,035	872,011	
\$ 42,549,638	\$ 44,133,557	\$ 48,387,115	\$ 50,591,696	\$ 54,122,536	\$ 57,265,168	

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Instruction	\$ 20,201,496	\$ 21,884,158	\$ 22,789,053	\$ 23,782,798
Student services	828,575	985,819	989,168	1,002,834
Instructional staff services	1,164,236	1,354,842	1,416,350	1,241,087
Administration services	2,892,734	3,048,787	3,085,309	3,200,486
Operation and maintenance of plant	2,429,130	2,358,107	2,268,270	2,348,522
Transportation services	1,255,851	1,364,899	1,359,967	1,476,472
Noninstructional programs	8,482	27,014	34,120	31,633
Capital outlay, facilities acquisition	1,730,515	2,999,831	8,479,269	3,707,280
AEA flowthrough	1,105,685	1,213,051	1,378,910	1,426,627
Debt service:				
Principal	100,008	17,037	-	-
Interest and fiscal charges	2,869	109	-	-
Total expenditures	\$ 31,719,581	\$ 35,253,654	\$ 41,800,416	\$ 38,217,739
Debt service as a percentage of noncapital expenditures	0.34%	0.05%	0.00%	0.00%

Source: District financial records

Fiscal Year											
2012		2013		2014		2015		2016		2017	
\$	25,271,552	\$	26,410,652	\$	28,708,400	\$	30,012,492		32,013,799	\$	32,861,581
	1,141,984		1,351,144		1,612,251		1,653,333		1,805,292		1,921,235
	1,704,452		1,516,098		1,747,264		1,837,349		3,217,189		3,487,286
	3,496,290		3,577,108		3,955,941		4,043,845		4,209,472		4,466,699
	2,575,190		2,699,383		3,198,034		3,207,753		3,040,088		3,307,042
	1,362,563		1,285,740		1,346,380		1,368,313		1,687,983		1,809,887
	24,476		17,808		18,959		20,941		42,924		33,911
	6,914,507		6,185,583		4,664,562		3,747,432		10,084,680		13,587,047
	1,380,061		1,476,199		1,638,338		1,744,881		1,826,774		1,901,900
	1,050,000		2,075,000		3,700,000		2,000,000		-		1,590,000
	13,174		2,774		10,268		1,798		206,613		471,868
\$	44,934,249	\$	46,597,489	\$	50,600,397	\$	49,638,137	\$	58,134,814	\$	65,438,456
2.81%		5.09%		7.98%		4.31%		0.42%		3.95%	

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Excess (deficiency) of revenues over (under) expenditures	\$ 1,897,777	\$ 1,224,085	\$ (5,281,187)	\$ 885,996
Other financing sources (uses):				
Sale of capital assets	2,588	15,000	-	-
Issuance of debt	-	-	-	-
Transfers in	602,877	717,146	150,000	37,385
Transfers out	(602,877)	(717,146)	(150,000)	(31,700)
Total other financing sources (uses)	2,588	15,000	-	5,685
Net change in fund balances	\$ 1,900,365	\$ 1,239,085	\$ (5,281,187)	\$ 891,681

Source: District financial records

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ (2,384,611)	\$ (2,463,932)	\$ (2,213,282)	\$ 953,559	\$ (4,012,278)	\$ (8,173,288)
3,015	502	11,367	3,007	2,361	380
2,250,000	2,975,000	3,600,000	-	10,000,000	10,000,000
1,151,042	2,177,774	3,809,488	2,151,798	716,187	1,736,826
(1,051,542)	(2,077,774)	(3,709,488)	(2,001,798)	(686,162)	(1,705,873)
2,352,515	3,075,502	3,711,367	153,007	10,032,386	10,031,333
\$ (32,096)	\$ 611,570	\$ 1,498,085	\$ 1,106,566	\$ 6,020,108	\$ 1,858,045

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Pleasant Valley Community School District

**Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Actual Value			Less Exemptions	Total Taxable Value - Actual	Total Direct Rate (a)
	Residential Property	Commercial Property	Other Property			
2008	565,508,646	168,159,796	43,473,165	2,218,899	774,922,708	13.99385
2009	631,671,878	204,699,329	42,520,257	2,256,071	876,635,393	13.98720
2010	683,824,283	208,580,064	43,248,879	2,294,481	933,358,745	13.99319
2011	728,566,887	210,360,595	42,632,570	2,313,348	979,246,704	14.74116
2012	772,720,063	214,183,141	42,063,147	2,246,015	1,026,720,336	14.73829
2013	855,055,343	227,252,979	41,356,824	2,240,917	1,121,424,229	14.64092
2014	918,634,549	217,741,000	42,290,592	2,202,204	1,176,463,937	14.74093
2015	976,952,195	229,658,580	34,879,246	2,198,321	1,239,291,700	14.49409
2016	1,043,403,312	216,939,941	33,507,263	2,316,852	1,291,533,664	14.34409
2017	1,133,691,222	225,859,477	32,387,728	2,285,368	1,389,653,059	14.14425

Source: Iowa Department of Management and Scott County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of assessed value.

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year	District Direct Rates			
	General Purposes	Capital Purposes	Debt Service	Total
2008	\$ 12.65385	\$ 1.34000	\$ -	\$ 13.99385
2009	12.64720	1.34000	-	13.98720
2010	12.65319	1.34000	-	13.99319
2011	13.40116	1.34000	-	14.74116
2012	13.06829	1.67000	-	14.73829
2013	12.97092	1.67000	-	14.64092
2014	13.07093	1.67000	-	14.74093
2015	12.82409	1.67000	-	14.49409
2016	12.67409	1.67000	-	14.34409
2017	12.47425	1.67000	-	14.14425

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates						
Scott County	College Area IX	City of Bettendorf	City of LeClaire	City of Panarama Park	City of Riverdale	
\$ 5.54040	\$ 0.60785	\$ 12.95000	\$ 14.69188	\$ 6.74595	\$ 2.50485	
5.33791	0.60635	12.85000	14.69998	5.64940	2.70130	
5.47607	0.87714	12.85000	16.08173	5.55117	2.70103	
6.37607	0.92444	12.60000	16.00434	5.56196	3.37602	
6.37759	1.01724	12.60000	15.07379	5.51713	7.00244	
6.30000	0.91511	12.55000	14.69999	5.47320	10.55647	
6.23534	0.92043	12.55000	14.47264	5.26743	10.55525	
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629	
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048	
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199	

Pleasant Valley Community School District

**Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)**

Name of Taxpayer	2017			2008		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid-American Energy	\$ 52,724,870	1	31.12%			
Arconic Inc.	38,111,243	2	22.49%	\$ 39,080,334	1	38.38%
Continental 203 Fund LLC	19,050,314	3	11.24%			
Chateau Knoll LLC	10,342,411	4	6.10%	8,367,570	4	8.22%
First Equity Management L C	10,067,364	5	5.94%	6,325,440	6	6.21%
Northern Border Pipeline Company	9,772,625	6	5.77%	12,898,057	2	12.67%
Olympic Steel Iowa Inc	8,673,328	7	5.12%	5,885,730	7	5.78%
Bettendorf Regency Apartments	7,371,788	8	4.35%	8,368,880	3	8.22%
URS Real Estate LP	7,283,295	9	4.30%	6,905,370	5	6.78%
Lindquist Real Estate Partners	6,044,040	10	3.57%	4,371,850	9	4.29%
Iowa American Water Company				5,487,437	8	5.39%
Iowa Natgreen LLC				4,138,670	10	4.06%
Total	<u>\$ 169,441,278</u>		<u>12.19%</u>	<u>\$ 101,829,338</u>		<u>13.14%</u>
Total Assessed Value	<u>\$ 1,389,653,059</u>			<u>\$ 774,922,708</u>		

Source: Scott County Auditor

Pleasant Valley Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2008	\$	11,505,621	\$ 11,490,608	99.87%	\$ 11,349	\$ 11,501,957	99.97%
2009		13,005,582	12,922,868	99.36%	10,859	12,933,727	99.45%
2010		13,831,130	13,749,585	99.41%	12,238	13,761,824	99.50%
2011		15,221,035	15,219,689	99.99%	22,211	15,241,900	100.14%
2012		16,003,277	16,001,235	99.99%	12,596	16,013,830	100.07%
2013		17,279,461	17,252,573	99.84%	107	17,252,680	99.85%
2014		18,351,942	18,347,585	99.98%	9,122	18,356,707	100.03%
2015		19,075,701	19,235,026	100.84%	5,558	19,240,584	100.86%
2016		19,743,499	20,115,797	101.89%	7,003	20,122,800	101.92%
2017		20,900,335	21,203,769	101.45%	8,667	21,212,436	101.49%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Note	Capital Leases	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2008	\$ -	\$ 17,037	\$ -	\$ 17,037	0.0%	\$ 1
2009	-	-	-	-	-	-
2010	-	-	-	-	-	-
2011	-	-	-	-	-	-
2012	1,200,000	-	-	1,200,000	0.2%	59
2013	2,100,000	-	-	2,100,000	0.3%	99
2014	2,000,000	-	-	2,000,000	0.3%	100
2015	-	-	-	-	-	-
2016	-	-	10,000,000	10,000,000	N/A	N/A
2017	-	-	18,410,000	18,410,000	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

**Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)**

Year of Collection	Estimated Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Assessed Value	Net Bonded Debt Per Capita
2007-08	\$ 877,143,051	\$ -	\$ -	\$ -	\$ -	\$ -
2008-09	995,107,044	-	-	-	-	-
2009-10	1,067,587,960	-	-	-	-	-
2010-11	1,124,512,188	-	-	-	-	-
2011-12	1,181,934,837	1,200,000	-	-	-	-
2012-13	1,277,899,434	2,100,000	-	-	-	-
2013-14	1,338,308,620	2,000,000	-	-	-	-
2014-15	1,413,107,660	-	-	-	-	-
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements

Pleasant Valley Community School District

Legal Debt Margin Information

Last Ten Fiscal Years

(Unaudited)

	2008	2009	2010	2011
Legal Debt Margin Calculation				
Assessed value	\$ 877,143,051	\$ 995,107,044	\$ 1,067,587,960	\$ 1,124,512,188
Debt limit (5% of assessed value)	43,857,153	49,755,352	53,379,398	56,225,609
Debt applicable to limit	-	-	-	-
Legal debt margin	\$ 43,857,153	\$ 49,755,352	\$ 53,379,398	\$ 56,225,609
Total net debt applicable to the limit as a percentage of debt limit	0.00%	0.00%	0.00%	0.00%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2017					
Assessed value				\$	<u>1,595,277,188</u>
Debt limit (5% of assessed value)				\$	79,763,859
Debt applicable to limit					<u>18,410,000</u>
Legal debt margin				\$	<u>61,353,859</u>
2012	2013	2014	2015	2016	2017
\$ 1,181,934,837	\$ 1,227,899,434	\$ 1,338,308,620	\$ 1,413,107,660	\$ 1,483,389,877	\$ 1,595,277,188
59,096,742	61,394,972	66,915,431	70,655,383	74,169,494	79,763,859
2,100,000	2,000,000	-	-	10,000,000	18,410,000
\$ 56,996,742	\$ 59,394,972	\$ 66,915,431	\$ 70,655,383	\$ 64,169,494	\$ 61,353,859
3.68%	3.37%	0.00%	0.00%	15.58%	30.01%

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2017

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	\$ 29,500,000	18.97%	5,596,099
Eastern Iowa Community College	46,185,000	12.32%	5,691,865
City of Bettendorf	128,410,000	47.91%	61,515,576
City of LeClaire	13,258,525	100.00%	13,258,525
City of Panorama Park	-	0.00%	-
City of Riverdale	1,515,000	99.54%	1,508,093
Subtotal, overlapping debt			<u>87,570,158</u>
District direct debt			<u>18,410,000</u>
Total direct and overlapping debt			<u><u>\$ 105,980,158</u></u>

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2016 assessed values are used.)

Pleasant Valley Community School District

Pledged Revenue Coverage

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Revenue Bonds			
	Revenue	Debt Service		Coverage
		Principal	Interest	
2008	NA	NA	NA	NA
2009	NA	NA	NA	NA
2010	NA	NA	NA	NA
2011	NA	NA	NA	NA
2012	NA	NA	NA	NA
2013	NA	NA	NA	NA
2014	NA	NA	NA	NA
2015	NA	NA	NA	NA
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax.

Pleasant Valley Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2008	20,155	\$ 540,006,239	26,793	4.1%
2009	19,491	542,146,328	27,815	7.1
2010	19,928	574,208,914	28,814	6.7
2011	19,823	637,107,854	32,140	6.2
2012	20,478	696,396,280	34,007	5.8
2013	21,161	686,181,820	32,427	5.7
2014	20,099	727,705,092	36,206	5.3
2015	20,977	768,940,606	36,656	4.8
2016	N/A	N/A	N/A	4.7
2017	N/A	N/A	N/A	3.8

Source:

(a) U.S. Census Bureau

(b) Iowa Department of Revenue

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

Pleasant Valley Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Employer	2017			2008		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
<u>Scott County</u>						
Genesis Health System	2,978	1	3.62 %			%
Davenport Community Schools	2,560	2	3.11			
Arconic	2,194	3	2.67			
HyVee Scott County Locations	2,025	4	2.46			
John Deere Davenport Works	2,000	5	2.43			
Kraft/Oscar Mayer Foods Corp.	1,600	6	1.94	1,650	3	1.82
Isle Capri Casino Hotel Bettendorf	1,250	7	1.52			
Tri City Electric	1,200	8	1.46			
City of Davenport	959	9	1.17			
St. Ambrose	543	10	0.66			
Genesis Medical Center				4,900	1	5.42
ALCOA				2,250	2	2.49
Isle of Capri				1,050	4	1.16
MidAmerican Energy Company				1,025	5	1.13
APAC Customer Service				900	6	1.00
United Parcel Service				590	7	0.65
Von Maur Inc.				560	8	0.62
Quad City Times				450	9	0.50
Von Hoffman Inc.				445	10	0.49
Total for Scott County	17,309		21.04 %	13,820		15.28 %

Source: Bi-State Regional Commission and Iowa Workforce Development Website / Labor Force

Pleasant Valley Community School District

**Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Full-Time Equivalent Employees as of June 30			
	2008	2009	2010	2011
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	6.0	6.0	6.0	6.0
Assistant principals	4.0	5.0	5.0	5.0
District secretary	0.4	0.4	0.4	0.4
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	1.0	2.0	2.0	1.0
Total supervisory	13.4	15.4	15.4	14.4
Instruction:				
Classroom teachers	175.0	176.9	179.9	181.0
Special education teachers	26.5	27.2	28.5	27.5
Special programs	17.2	16.2	15.3	14.2
Vocational teachers	8.8	8.8	9.3	7.5
Teacher aides	52.9	52.8	52.2	51.2
Instructional technology technicians	1.5	1.3	2.3	2.3
Total instruction	281.9	283.1	287.5	283.7
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	7.5	9.0	9.0	9.0
Library/media specialists	5.0	5.0	5.0	5.0
Nurses	4.1	4.1	4.1	4.1
Total student services	17.6	19.1	19.1	19.1
Support and administration:				
Other support services	-	2.0	1.0	-
Office/clerical personnel	27.0	27.2	27.0	27.0
Other professional employees	1.0	1.0	1.0	1.0
Technology specialist	2.0	2.0	2.0	2.0
Crafts and trades personnel	3.0	3.0	3.0	3.0
Laborers	1.0	1.0	1.0	1.0
Service workers	37.7	36.6	37.0	36.6
Operative personnel	1.6	1.6	1.6	1.6
Total support and administration	73.3	74.5	73.7	72.2
Total	386.1	392.0	395.7	389.4

Source: District financial records

Full-Time Equivalent Employees as of June 30						Percentage Change 2008 - 2017
2012	2013	2014	2015	2016	2017	
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	7.0	7.0	7.0	17%
5.0	5.0	5.0	5.0	5.0	5.0	25%
0.4	0.4	0.4	0.4	-	-	-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
1.0	1.0	2.0	2.0	3.0	3.0	200%
15.4	15.4	16.4	16.4	17.0	17.0	27%
199.5	201.6	215.1	217.8	233.4	239.5	37%
30.0	28.3	28.1	27.3	28.6	29.0	10%
16.2	19.8	22.3	29.2	19.5	20.5	19%
8.2	8.0	8.0	6.8	7.6	8.5	-4%
54.0	55.8	58.8	62.8	60.7	66.5	26%
2.3	2.3	3.3	3.2	3.3	3.0	100%
310.1	315.7	335.6	347.2	352.9	367.0	30%
1.0	1.0	1.0	1.0	1.0	1.0	0%
9.5	12.2	12.6	12.6	14.0	13.0	73%
5.5	5.5	5.5	5.5	6.0	7.0	40%
4.6	5.0	5.6	5.6	6.6	6.6	61%
20.6	23.6	24.7	24.7	27.6	27.6	57%
-	-	-	-	10.0	10.0	100%
29.3	27.5	28.3	28.5	28.4	31.3	16%
1.0	1.0	1.5	1.5	2.5	3.5	250%
2.0	2.0	2.0	2.0	2.0	3.0	50%
3.0	3.0	4.0	3.5	4.0	3.0	0%
1.0	1.0	1.0	1.5	2.0	2.0	100%
42.0	43.1	44.1	43.8	46.0	44.1	17%
1.6	1.7	1.7	1.7	1.7	1.7	4%
79.9	79.3	82.6	82.5	96.5	98.6	35%
425.9	434.0	459.2	470.7	494.1	510.2	32%

Pleasant Valley Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2008	3,504	\$ 28,063,148	\$ 8,009	0.01%
2009	3,589	30,419,133	8,477	5.84%
2010	3,609	31,261,592	8,662	2.19%
2011	3,784	32,238,611	8,519	-1.65%
2012	3,960	34,974,438	8,832	3.67%
2013	4,230	36,437,868	8,614	-2.47%
2014	4,289	39,900,129	9,304	8.01%
2015	4,386	41,559,208	9,475	1.84%
2016	4,532	45,391,590	10,016	5.71%
2017	4,746	47,415,560	9,991	-0.26%

Source: Nonfinancial information from District records. District financial records.

Notes: N/A = not available.

						Percentage of Students Receiving Free or Reduced Price Meals
Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio		
\$ 30,466,827	\$ 8,695	0.01%	241	6.88%	12.00%	
33,761,408	9,408	8.20%	248	6.91%	11.00%	
34,504,080	9,561	1.62%	250	6.93%	13.00%	
35,413,915	9,358	-2.11%	246	6.50%	12.00%	
38,956,243	9,838	5.12%	280	7.07%	11.00%	
41,114,972	9,720	-1.20%	295	6.97%	12.00%	
45,453,563	10,599	9.04%	303	7.07%	11.00%	
45,224,769	10,311	-2.72%	303	6.91%	11.00%	
58,134,814	12,828	24.41%	321	7.08%	12.00%	
65,438,456	13,788	7.48%	320	6.74%	12.00%	

Pleasant Valley Community School District

School Building Information Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Pleasant View				
Square feet	78,343	78,343	78,343	78,343
Capacity*	850	850	850	850
Enrollment	643	634	641	687
Playgrounds	2	2	2	2
Hopewell				
Square feet	N/A	N/A	59,812	59,812
Capacity*	N/A	N/A	475	475
Enrollment	N/A	N/A	-	-
Playgrounds	N/A	N/A	1	1
Cody				
Square feet	45,090	45,090	45,090	45,090
Capacity*	550	550	550	550
Enrollment	265	320	324	368
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	47,980	47,980	47,980
Capacity*	450	450	450	450
Enrollment	306	300	335	344
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	800
Enrollment	639	643	642	640
Playgrounds	2	2	2	2
Jr. High				
Square feet	97,950	97,950	97,950	97,950
Capacity*	850	850	850	850
Enrollment	535	576	591	612
Playgrounds	-	-	-	-
High School				
Square feet	247,564	247,564	247,564	247,564
Capacity*	1,800	1,800	1,800	1,800
Enrollment	1,144	1,136	1,098	1,178
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2012	2013	2014	2015	2016	2017
78,343	78,343	78,343	80,913	80,913	80,913
850	850	850	850	850	850
611	653	628	638	632	632
2	2	2	2	2	2
64,180	64,180	64,180	64,180	64,180	64,180
900	900	900	900	900	900
297	323	396	468	545	545
1	1	1	1	1	1
45,090	45,090	45,090	45,090	54,709	54,709
550	550	550	550	625	625
307	311	317	315	320	320
1	1	1	1	1	1
47,980	47,980	47,980	47,980	54,654	54,654
450	450	450	450	575	575
328	343	347	342	383	383
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
800	800	800	800	800	800
646	661	620	642	634	634
2	2	2	2	2	2
112,405	112,405	112,405	112,405	137,937	137,937
1,050	1,050	1,050	1,050	1,300	1,300
608	661	701	672	668	668
-	-	-	-	-	-
258,304	258,304	258,304	258,304	258,304	258,304
1,975	1,975	1,975	1,975	1,975	1,975
1,221	1,250	1,264	1,307	1,338	1,338
-	-	-	-	-	-

Pleasant Valley Community School District

**Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)**

Education Level	Fiscal Year			
	2008	2009	2010	2011
BA				
Total FTE	40.00	41.00	34.33	39.43
Average salary	33,789.00	34,645.00	36,120.00	36,177.00
BA + 10				
Total FTE	19.00	20.00	12.00	16.00
Average salary	39,139.00	42,028.00	42,824.00	43,341.00
BA +20				
Total FTE	37.00	38.00	42.00	42.00
Average salary	46,876.00	48,473.00	48,916.00	49,173.00
MA				
Total FTE	48.92	48.92	49.92	52.08
Average salary	46,665.00	48,991.00	49,759.00	49,753.00
MA + 10				
Total FTE	24.00	24.00	32.00	40.00
Average salary	51,467.00	54,304.00	54,648.00	55,299.00
MA + 20				
Total FTE	12.83	16.00	13.00	16.83
Average salary	54,220.00	56,903.00	58,383.00	59,756.00
MA +30				
Total FTE	29.00	30.83	34.83	42.00
Average salary	58,481.00	61,172.00	61,780.00	62,026.00
Grand total FTE	210.75	218.75	218.08	248.34
Total average salary	46,212.25	48,453.89	50,219.30	50,733.17

Source: District personnel records.

Notes:

Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2012	2013	2014	2015	2016	2017
53.93 36,000.00	50.97 37,278.00	58.90 39,158.00	61.90 39,121.00	65.83 39,720.00	66.50 40,822.00
20.00 43,801.00	15.00 46,213.00	24.00 45,412.00	27.00 45,400.00	27.00 45,918.00	21.33 48,135.00
39.00 50,143.00	43.50 49,470.00	37.20 51,761.00	34.83 53,297.00	40.00 52,435.00	41.00 53,220.00
55.50 49,884.00	57.00 50,094.00	57.70 51,241.00	57.70 51,279.00	62.79 52,252.00	72.88 53,461.00
40.00 56,442.00	39.00 57,774.00	40.00 59,974.00	39.00 59,736.00	42.00 60,762.00	38.00 62,138.00
20.00 59,198.00	27.00 60,662.00	27.00 63,459.00	26.00 64,688.00	25.00 65,390.00	30.00 66,154.00
44.83 62,659.00	47.83 64,324.00	52.43 65,592.00	59.35 65,028.00	62.00 66,649.00	66.00 67,734.00
273.26 50,473.40	280.30 51,973.90	297.23 53,257.90	305.78 53,416.31	324.62 54,068.90	335.71 52,283.52

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Pleasant Valley Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2017**

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY17 4552	\$ - \$	31,645
National School Lunch Program	10.555	FY17 4553	-	364,746
Commodities -DOD (Noncash)	10.555	FY17	-	89,999
Commodities (Noncash)	10.555	FY17	-	127,613
Total Child Nutrition Cluster, U.S. Department of Agriculture			-	614,003
U.S. Department of Education:				
Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY17 4501	-	162,130
Special Education-Grants to States IDEA, Part B	84.027	FY17 4525	-	8,879 (1)
Special Education- State Personnel Development Grants	84.323	FY17 4526	-	10,590
Advanced Placement	84.330	FY17 4654	-	114
Title IIA Federal Teacher Quality Program	84.367	FY17 4643	-	63,164
Grants for State Assessments and Related Activities Title VI	84.369	FY17 4648	-	8,882
Mississippi Bend Area Education Agency:				
Special Education - Grants to States IDEA, Part B	84.027	FY17 4521	-	189,068 (1)
Career and Technical Education - Basic Grants to States	84.048	FY17 4531	-	15,102
Total U.S. Department of Education			-	457,929
Total Expenditures of Federal Awards			\$ - \$	1,071,932

(1) Total Special Education, IDEA Cluster \$197,947.

See notes to schedule of expenditures of federal awards.

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Pleasant Valley Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2017

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2017. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

Pleasant Valley Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2017**

Findings	Status	Corrective Action Plan or Other Explanation
None		



**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 13, 2017.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2017 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2017



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2017. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2017

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2017**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency identified?
- Noncompliance material to financial statements noted?

☐ Yes ☒ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of major programs:

<u>CFDA Number</u>	<u>Name of Federal Program or Cluster</u>
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2017**

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-17

Certified Budget – Expenditures for the year ended June 30, 2017 did not exceed the amounts budgeted at year-end.

IV-B-17

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-17

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-17

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-17

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-F-17

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

IV-G-17

Certified Enrollment –

Finding: The District identified variances in certified enrollment certified to the state in October 2016.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action: The District will continue to review data prior to submission.

Conclusion: Response accepted.

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2017**

(Continued)

IV-H-17

Supplementary Weighting – No variances regarding the basic enrollment data certified to the Iowa Department of Education were noted.

IV-I-17

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-J-17

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-K-17

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-L-17

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2017, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 5,283,186
Revenue / transfers in:	
Statewide sales and services tax revenue	4,333,461
Interest and other	48,184
Transfers in	-
Issuance of long-term debt	10,000,000
Expenditures/transfers out:	
Transfers out	2,299,345
School infrastructure:	
Buildings	11,562,395
Ending balance	<u>\$ 5,803,091</u>

For the year ended June 30, 2017, the District reduced the debt service tax levy by \$2.70 per \$1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 2.70000	\$ 4,333,461

Pleasant Valley Community School District

**Corrective Action Plan
Year Ended June 30, 2017**

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
Statutory Reporting:				
IV-G-17	Errors in Certified Enrollment were identified.	See IV-G-17	2018	Mike Clingingsmith